



IFRS 9 Financial Instruments

Classification, Measurement, Impairment & Hedge Accounting
A Comprehensive Guide for CTA, PGDA & ITC Students

Prepared for postgraduate accounting students
South Africa

IFRS STUDY GUIDES

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IFRS 9 Financial Instruments — Part 1: Scope & Introduction

The Problem That Created IFRS 9

To understand IFRS 9, you first need to understand why it was needed.

The 2008 global financial crisis exposed a fundamental flaw in the prevailing standard at the time — **IAS 39 Financial Instruments: Recognition and Measurement**. Banks and financial institutions were carrying loans on their books at full value right up until the moment borrowers defaulted. The accounting only recognized losses *after* they had occurred. Regulators, investors, and standard-setters watched in horror as multi-billion-rand write-downs appeared seemingly overnight.

The G20 leaders called on the IASB to create a simpler, more forward-looking standard. The result was **IFRS 9**, developed in three phases and fully effective from **1 January 2018**.

***The central shift:** IAS 39 was backward-looking (recognize losses when they happen). IFRS 9 is forward-looking (recognize losses before they happen).*

What is a Financial Instrument?

Before we can classify or measure anything, we need to understand what we're dealing with.

Definition (IAS 32.11)

*A **financial instrument** is any contract that gives rise to a **financial asset** of one entity and a **financial liability** or **equity instrument** of another entity.*

This is a two-sided definition — for every financial instrument, there are two parties.

Financial Asset (IAS 32.11)

A financial asset is any asset that is:

Type	Example
Cash	Bank balance
An equity instrument of another entity	Shares held in JSE-listed company
A contractual right to receive cash or another financial asset	Trade receivable, loan given
A contractual right to exchange financial instruments under potentially favourable conditions	Call option held

Financial Liability (IAS 32.11)

A financial liability is any liability that is:

Type	Example
A contractual obligation to deliver cash or another financial asset	Trade payable, bond issued, loan received
A contractual obligation to exchange financial instruments under potentially unfavourable conditions	Written put option

Equity Instrument (IAS 32.11)

Any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

IMPORTANT

The distinction matters enormously. Whether an instrument is classified as a financial liability or equity under IAS 32 determines where interest/dividends go (P/L vs equity) and whether it appears in leverage ratios. This distinction is governed by **IAS 32**, not IFRS 9. IFRS 9 deals with *how* you measure once IAS 32 has determined *what* it is.

What Falls WITHIN the Scope of IFRS 9?

IFRS 9 applies to **all financial instruments** *except* those specifically excluded.

This means it covers: - Trade receivables and payables - Loans and borrowings - Investments in shares and bonds - Derivative instruments (forwards, options, swaps) - **Lease receivables (the lessor side under IFRS 16)** - Financial guarantee contracts - Loan commitments (in some cases)

What Falls OUTSIDE the Scope of IFRS 9?

Excluded Item	Standard That Applies
Interests in subsidiaries, associates, and joint ventures	IFRS 10, IAS 27, IAS 28
Rights and obligations under leases (lessee)	IFRS 16
Employers' rights and obligations under employee benefit plans	IAS 19
Insurance contracts (issued)	IFRS 17
Share-based payment instruments	IFRS 2
Equity instruments issued by the entity itself	IAS 32

CAUTION

Common exam trap: Investments in subsidiaries, associates, and JVs are *scoped out* of IFRS 9 in the *consolidated* financial statements. However, in these *separate* financial statements of a parent or investor, these investments ARE within scope — they can be measured at cost, fair value (IFRS 9), or the equity method.

The Three Phases of IFRS 9

The IASB developed IFRS 9 in three distinct phases, each addressing a different deficiency in IAS 39:

Phase	Topic	The Problem with IAS 39
Phase 1	Classification & Measurement	Too many categories (4), arbitrary classification, "tainting rules"
Phase 2	Impairment	Losses recognized too late (incurred loss model)
Phase 3	Hedge Accounting	Too rules-based, many legitimate economic hedges couldn't qualify

Each phase is covered in detail in the subsequent parts of this guide.

IAS 39 vs IFRS 9: A Summary Overview

It is essential for exam purposes to understand *both* standards and how they compare. Many exam questions are set in a transition context, or require you to explain why a particular treatment differs.

Feature	IAS 39	IFRS 9
Financial asset categories	4 categories	3 categories
Classification basis	Management intention + rules	Business model + cash flow characteristics
Impairment model	Incurred loss	Expected credit loss (ECL)
Hedge effectiveness test	Quantitative: 80–125%	Principles-based: economic relationship
Own credit risk on FVO liabilities	Changes in P/L	Changes in OCI
Complexity	High — many exceptions and carve-outs	Lower — principles-based

IFRS 9 Transition: What You Need to Know

When IFRS 9 became effective (1 January 2018), entities transitioning from IAS 39 had to apply specific transition rules:

Classification & Measurement: - Classification of financial assets is assessed based on the facts and circumstances at the **date of initial application** (not retrospectively at each asset's original recognition date) - An entity may designate or revoke prior FVO designations at the transition date - Comparative periods **need not be restated** — the entity applies IFRS 9 **prospectively from the transition date**, with any adjustment recognized in opening retained earnings

Impairment: - The ECL model applies from the date of initial application - The entity must determine the stage of each financial asset by comparing credit risk at origination with credit risk at the transition date — without the benefit of hindsight - This was particularly challenging for South African banks with large loan books originated years before transition

Hedge Accounting: - Entities may make an irrevocable election to continue applying **IAS 39 hedge accounting** instead of IFRS 9 hedge accounting — and many SA entities with complex macro hedge programmes chose to do so - If transitioning to IFRS 9 hedge accounting, qualifying hedges can be carried forward without discontinuation

NOTE

Exam questions may test transition — typically by asking how a specific asset's classification changes from IAS 39 to IFRS 9, or how the opening ECL allowance is determined. Know the principle: assess at the transition date, adjust opening retained earnings, no restatement of comparatives.

Key Definitions You Must Know

Term	Definition
Amortised cost	Initial amount $\pm$ principal repayments $\pm$ cumulative amortisation of premium/discount $\pm$ impairment loss
Effective interest rate (EIR)	The rate that exactly discounts future cash flows to the gross carrying amount
Fair value	Price received to sell an asset or paid to transfer a liability in an orderly transaction between market participants (IFRS 13)
Business model	How an entity manages financial assets to generate cash flows
SPPI	Solely Payments of Principal and Interest — the cash flow characteristic test
Credit loss	Difference between contractual cash flows and expected cash flows, discounted at EIR
Expected credit loss (ECL)	Probability-weighted estimate of credit losses
12-month ECL	ECL from default events possible within 12 months
Lifetime ECL	ECL from all possible default events over the life of the instrument
Significant increase in credit risk (SICR)	The trigger for moving from 12-month to lifetime ECL

The Structure of IFRS 9

IFRS 9

- Chapter 2: Recognition and Derecognition
- Chapter 3: Classification
 - 3.1 Financial Assets
 - 3.2 Financial Liabilities
- Chapter 4: Measurement
 - 4.1 Initial Measurement
 - 4.2 Subsequent Measurement – Financial Assets
 - 4.3 Subsequent Measurement – Financial Liabilities
 - 4.4 Impairment
- Chapter 6: Hedge Accounting

NOTE

There is no Chapter 5 in IFRS 9. The numbering jumps from Chapter 4 to Chapter 6. This is not an error — it was a deliberate decision by the IASB to allow for potential future chapters.

Common Student Pitfalls

Pitfall	How to Avoid
Mixing up IAS 32, IAS 39, IFRS 9, and IFRS 7	IAS 32 = presentation (what is it?). IFRS 9 = recognition & measurement. IFRS 7 = disclosures. IAS 39 = old measurement standard (now superseded)
Forgetting that IFRS 9 has a scope	Always check whether the instrument is in scope before applying IFRS 9
Assuming IAS 39 is irrelevant	IAS 39 is still examinable and some entities continue to apply IAS 39 hedge accounting under the IFRS 9 transition provisions
Confusing financial instruments with physical commodities	A forward to buy gold is a financial instrument (derivative); gold itself is not

Worked Example: Is This a Financial Instrument?

Facts: Consider the following items in a company's records:

Item	Financial Instrument?	Reasoning
Trade receivable of R500,000 from a customer on 30-day credit	✓ Yes — financial asset	A <i>contract</i> exists (the sale agreement). It gives rise to a right to receive cash (financial asset for the seller) and an obligation to pay cash (financial liability for the customer).
Inventory of 10,000 bags of maize held in a warehouse	X No	No contractual right to receive cash or another financial instrument. Maize is a physical asset — accounted for under IAS 2.
A forward contract to buy USD 1,000,000 in 90 days at a fixed ZAR rate	✓ Yes — derivative	A contract that will be settled net or by exchange of financial instruments. Both parties have contractual rights and obligations.
A provision for site rehabilitation at a mining operation	X No	This is a constructive or legal obligation, but not a <i>contractual</i> obligation to deliver cash or another financial instrument. It falls under IAS 37.
Ordinary shares issued by the entity itself	X Not for the issuer	From the <i>issuer's</i> perspective, its own equity instruments are scoped out of IFRS 9. From an <i>investor's</i> perspective, those shares are a financial asset.

The key test every time: **is there a contract that creates a financial asset in one entity and a financial liability or equity instrument in another?** If the answer is no — stop. It's not a financial instrument.

Exam Technique

"Identify and Classify" Questions

These questions typically give you a list of items and ask whether they are financial instruments, and if so, what type. If you can apply the table above from memory, these are straightforward marks.

Framework: 1. Does a *contract* exist? (Financial instruments are contractual) 2. Does it give rise to a financial asset *and* a corresponding financial liability/equity instrument? 3. If yes — it's a financial instrument. Identify which side you're looking at (asset, liability, or equity). 4. Apply scope exclusions — is it covered by another standard?

Mark Allocation Tip

For a "is this a financial instrument?" question worth 2 marks: - 1 mark: State the definition or relevant criterion - 1 mark: Apply and conclude

Key Takeaways

1. **IFRS 9 replaced IAS 39** to address the failures exposed by the 2008 financial crisis
 2. **A financial instrument** is a contract that creates a financial asset in one entity and a financial liability or equity in another
 3. **IFRS 9 applies broadly** to all financial instruments except those explicitly scoped out
 4. **Three phases**: classification & measurement, impairment, hedge accounting
 5. **IAS 32** governs presentation (liability vs equity); **IFRS 9** governs measurement; **IFRS 7** governs disclosures — these are three separate standards working together
 6. The central philosophical shift: from **incurred loss** to **expected loss** thinking
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IFRS 9 Financial Instruments — Part 2: Classification of Financial Assets

Why Classification Matters

The category into which a financial asset is classified determines *everything* about how it is measured — both at initial recognition and subsequently. Get the classification wrong, and every number that flows from it is wrong.

Classification also determines whether fair value changes hit your **profit or loss** (affecting earnings per share and bonuses) or **other comprehensive income** (bypassing P/L entirely). This is not an academic distinction — it has real economic consequences for reported performance.

IAS 39: The Old Four-Category Model

Under IAS 39, financial assets were classified into **four categories**, primarily driven by *management intention*:

Category	Abbreviation	Basis
Fair Value Through Profit or Loss	FVTPL	Held for trading OR designated at inception
Held-to-Maturity	HTM	Positive intention AND ability to hold to maturity
Loans and Receivables	L&R	Not quoted in an active market, fixed/determinable payments
Available-for-Sale	AFS	Residual category — everything else

The Problems with IAS 39

- 1. Management intention was unreliable** Classification depended on what management *said* they intended, not what was economically appropriate. This created scope for manipulation.
- 2. The "Tainting Rule" (HTM)** If an entity sold *any* HTM investment before maturity (except in very narrow circumstances), it was "tainted" and had to reclassify *all* HTM investments to AFS for the current year and the next two years. This made HTM impractical.
- 3. The AFS "Recycling" Problem** Fair value changes on AFS instruments went to OCI. When the asset was sold, those gains were "recycled" to P/L — creating artificial volatility in reported earnings.
- 4. Too many categories, too many exceptions** IAS 39 had layer upon layer of exceptions, carve-outs, and specific guidance that made it enormously complex and difficult to apply consistently.

IFRS 9: The New Three-Category Model

IFRS 9 replaces the four IAS 39 categories with **three categories**, based on objective criteria rather than management intention:

Category	Measurement	P/L or OCI?
Amortised Cost (AC)	Initial FV → amortised cost thereafter	Interest income via EIR in P/L
Fair Value Through Other Comprehensive Income (FVOCI)	Fair value	FV changes in OCI; interest in P/L
Fair Value Through Profit or Loss (FVTPL)	Fair value	All FV changes in P/L

The Two-Step Classification Test

Classification under IFRS 9 is determined by applying **two tests in sequence**:

```

Step 1: Business Model Test
    ↓
Step 2: SPPI Test (Cash Flow Characteristics)
    ↓
Classification Result
  
```

Both tests must be applied. The outcome of the two tests together determines the category.

Step 1: The Business Model Test

Master the two-step classification test cold. It is the gateway to everything else in IFRS 9 — measurement, impairment, and even disclosure all flow from the classification you determine here.

What is a Business Model?

The business model reflects how an entity manages its financial assets to generate cash flows. It is determined at a level *higher than individual instruments* — it is about the portfolio or group of assets managed together.

⚠ IMPORTANT

The business model is **afact**, not a choice. It is determined by observable evidence — what management actually does, not what they claim they will do. Evidence includes: how performance is evaluated, how managers are compensated, the frequency and volume of sales activity, and stated policies.

Three Business Model Categories

Business Model 1: Hold to Collect - Objective: Collect the contractual cash flows (principal + interest) - Sales are incidental — they happen but are not central to the objective - Examples: A bank holding mortgage loans, a company holding bonds to maturity - **Result:** Points toward Amortised Cost (if SPPI also passes)

Business Model 2: Hold to Collect AND Sell - Objective: Both collect contractual cash flows AND sell the assets - Both activities are integral to achieving the objective - Examples: A bank managing a liquidity portfolio, an insurer managing assets to meet policyholder claims - **Result:** Points toward FVOCI (if SPPI also passes)

Business Model 3: Other (Trading) - Objective: Primarily selling assets to realize fair value gains - Also applies when no other business model fits - Examples: A trading book, investments held for speculative purposes - **Result:** FVTPL (regardless of SPPI test result)

Sales Activity — What's Acceptable in "Hold to Collect"?

A common exam question is: "Does selling assets mean the business model is NOT hold to collect?"

The answer is nuanced. Sales are **not inconsistent** with hold-to-collect if they are:

Reason for Sale	Consistent with Hold to Collect?
Credit deterioration (selling a deteriorating loan)	✓ Yes
Low frequency and insignificant value	✓ Yes
Close to maturity (cash flows substantially collected)	✓ Yes
Increasing sales frequency and volume	X No
Sales to generate profit from fair value movements	X No

💡 TIP

Exam technique: When assessing the business model, look for the *overall pattern*, not isolated transactions. One sale doesn't change a business model. Consistent, repeated selling to capture gains does.

Step 2: The SPPI Test

What Does SPPI Mean?

Solely Payments of Principal and Interest

For a financial asset to be measured at amortised cost or FVOCI, its contractual cash flows must consist *solely* of payments of principal and interest on the principal amount outstanding.

This is a test of **cash flow characteristics** — what does the contract actually say you will receive?

What is "Principal"?

The fair value of the financial asset at initial recognition. As repayments are made, the outstanding principal amount decreases.

What is "Interest"?

Consideration for: - **The time value of money** (compensation for the passage of time) - **Credit risk** (compensation for the risk of default) - **Liquidity risk and other basic lending risks** (compensation for other lending-related costs) - **Administrative costs** and **profit margin** (reasonable)

Does the Instrument PASS the SPPI Test?

Cash Flow Feature	SPPI Result	Explanation
Fixed rate bond	✓ Pass	Simple interest on principal
Floating rate bond (JIBAR + spread)	✓ Pass	Rate changes but still time value + credit risk
Inflation-linked bond	✓ Pass*	Updating principal for inflation is consistent with time value
Bond with prepayment option	✓ Pass*	If prepayment amount ≈ outstanding principal + accrued interest
Convertible bond (equity conversion)	X Fail	Equity conversion feature is not interest or principal
Leveraged interest features (e.g., 3× JIBAR)	X Fail	Leverage amplifies beyond time value compensation
Return linked to equity index or commodity price	X Fail	Not a compensation for time value or credit risk
Profit-participating loans	X Fail	Return linked to borrower performance
Non-recourse loans (asset-specific)	✓ Pass	Restriction of recourse doesn't disqualify if still P+I

*Subject to conditions

The "Insignificant Effect" Exception

If a cash flow feature could modify timing or amount, but the effect on cash flows is **de minimis** (i.e., insignificant in all circumstances), the asset may still pass SPPI.

The Contractually Linked Instruments (CLI) Trap

When an entity invests in tranches of a structured vehicle (e.g., a CDO or CLO), the SPPI test must "look through" to the underlying pool of instruments. Tranches that concentrate credit risk (subordinated tranches) typically fail SPPI.

CAUTION

Exam trap: Students sometimes assume any bond passes SPPI automatically. Always check for equity conversion features, performance-linked returns, or leveraged interest rates — these are automatic SPPI failures.

Putting It Together: The Classification Matrix

Business Model	SPPI Pass?	Classification
Hold to Collect	✓ Yes	Amortised Cost
Hold to Collect	X No	FVTPL
Hold to Collect & Sell	✓ Yes	FVOCI (Debt)
Hold to Collect & Sell	X No	FVTPL
Other/Trading	Any	FVTPL

The "Override" to FVTPL: The Fair Value Option (FVO)

Even if an asset would otherwise be classified at amortised cost or FVOCI, an entity may **irrevocably designate** it at FVTPL at initial recognition if doing so **eliminates or significantly reduces an accounting mismatch**.

Example of FVO: A bank issues fixed-rate debt (liability at amortised cost) and holds fixed-rate bonds (asset would normally be amortised cost). If interest rates change, the asset's fair value moves but the liability doesn't — creating a mismatch. The bank can designate the bonds at FVTPL so both sides reflect market values, eliminating the mismatch.

Equity Instruments: A Special Case

Equity instruments (shares in other companies) **always fail the SPPI test** — dividends are not "principal and interest." Therefore:

- **Default:** FVTPL (all fair value changes + dividends in P/L)
- **Irrevocable OCI Option:** At initial recognition, an entity may designate an equity investment as FVOCI **if it is not held for trading**

The FVOCI Equity Option — Key Differences from FVOCI Debt

Feature	FVOCI (Debt Instrument)	FVOCI (Equity — OCI Option)
Reclassification to P/L on sale	✓ Yes (recycled)	X No (never recycled)
Impairment model applies	✓ Yes	X No
Interest income in P/L	✓ Yes (EIR method)	X No (dividends only)
OCI accumulation on sale	Transferred to P/L	Transferred to retained earnings

IMPORTANT

The no-recycling rule for equity OCI is a deliberate policy choice. The IASB decided that recycling created artificial P/L volatility. However, this means gains/losses on equity investments designated at FVOCI **never appear in P/L**— not even when sold. This is a significant difference from IAS 39 AFS treatment, where gains and losses *were* recycled on disposal.

IAS 39 vs IFRS 9 Classification: Side-by-Side Comparison

IAS 39 Category	IFRS 9 Equivalent	Key Difference
FVTPL (held-for-trading)	FVTPL	Essentially the same
FVTPL (designated — FVO)	FVTPL (FVO)	IFRS 9 FVO criteria are similar but own credit risk changes go to OCI for liabilities
Held-to-Maturity (HTM)	Amortised Cost	No more "tainting rule" under IFRS 9
Loans and Receivables (L&R)	Amortised Cost	More principled basis (business model + SPPI)
Available-for-Sale (AFS)	FVOCI (debt) or FVOCI equity option	Equity: no recycling under IFRS 9; debt: impairment model now applies

Reclassification

Under IFRS 9, reclassification of financial assets is **only permitted** when the entity **changes its business model** for managing financial assets.

- Changes to business model are expected to be **very infrequent**
- Must be significant to the entity's operations (e.g., acquisition/disposal of a business line)
- Cannot be triggered by a change in intention for a specific instrument
- Applied **prospectively** from the reclassification date

Under IAS 39, the rules were different — certain transfers between categories were permitted (with restrictions), and the tainting rule forced reclassifications.

NOTE

Reclassification of **financial liabilities** is **not permitted** under either IAS 39 or IFRS 9.

Worked Example: Classifying a Portfolio of Financial Assets

Facts: XYZ Bank holds the following financial assets:

1. **Home loan portfolio** — Fixed rate mortgages. Managed to collect monthly payments. Occasional sales when borrowers default and security is sold.
2. **Government bond portfolio** — JSE-listed bonds. Portfolio is managed to both collect coupon payments and sell bonds when the yield curve shifts to manage liquidity.
3. **Listed equity shares in ABC Ltd** — Purchased because the treasury desk believes the share price will rise. Not designated under OCI option.
4. **Structured note** — Returns are linked to the JSE All Share Index, with capital protection. Repayment = greater of initial investment or 120% × JSE return.
5. **Trade receivables** — Standard 30-day receivables from corporate clients. Business model is simply to collect the amount owed.

Classification:

Asset	Business Model	SPPI?	Classification	Reasoning
1. Home loans	Hold to Collect	✓ Pass	Amortised Cost	Fixed P+I; sales are credit-driven (acceptable)
2. Govt bonds	Hold to Collect & Sell	✓ Pass	FVOCI (Debt)	Both objectives are integral
3. ABC shares	Other/Trading	N/A (equity)	FVTPL	Held for capital gain; no OCI designation
4. Structured note	N/A	X Fail	FVTPL	Cash flows linked to equity index — not SPPI
5. Trade receivables	Hold to Collect	✓ Pass	Amortised Cost	Simple right to receive cash

Common Student Pitfalls

Pitfall	Correct Approach
Applying SPPI before Business Model	Always apply business model first — if business model = "other/trading", SPPI is irrelevant
Assuming all bonds pass SPPI	Check for equity conversion, leveraged interest, index-linked returns
Confusing FVOCI debt and FVOCI equity	Debt: recycled to P/L on sale; Equity OCI option: NEVER recycled
Thinking sales automatically change the business model	Frequency, volume, and reason for sales matter — isolated credit-driven sales don't change the model
Confusing IAS 39 AFS with IFRS 9 FVOCI	Under IAS 39, equity AFS gains were recycled. Under IFRS 9 equity FVOCI option, they are not
Treating the FVTPL FVO as a free choice	The FVO is only available to eliminate or significantly reduce an accounting mismatch

Exam Technique

Classification Question Framework

When asked to classify a financial asset under IFRS 9:

Step 1: Confirm it is a financial asset within scope of IFRS 9

Step 2: Is it an equity instrument? - Yes → Default FVTPL. Consider whether the OCI option has been/could be elected. - No (debt instrument) → Continue to Step 3

Step 3: Apply the Business Model Test - Describe the business model (hold to collect / hold to collect & sell / other) - Support with evidence from the facts

Step 4: Apply the SPPI Test - Are cash flows solely payments of principal and interest? - Identify any features that might cause a fail (leverage, equity-linking, etc.)

Step 5: Conclude on classification using the matrix

Mark Allocation Tip

A 4-mark classification question typically wants: - Business model identification + justification (2 marks) - SPPI assessment (1 mark) - Correct classification conclusion (1 mark)

Key Takeaways

1. **IAS 39 had four categories** based on management intention; **IFRS 9 has three** based on objective criteria
 2. Classification is determined by the **Business Model Test** (how are assets managed?) AND the **SPPI Test** (what are the contractual cash flows?)
 3. **Business model = Hold to Collect + SPPI pass** → Amortised Cost
 4. **Business model = Hold to Collect & Sell + SPPI pass** → FVOCI (Debt)
 5. **Anything else, or SPPI fail** → FVTPL
 6. **Equity instruments** default to FVTPL; the irrevocable OCI option (no recycling) is available for non-trading equity investments
 7. **Reclassification** is only permitted on a genuine change of business model — expected to be very rare
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IFRS 9 Financial Instruments — Part 3: Measurement of Financial Assets

The Measurement Hierarchy

Once a financial asset is classified (Part 2), measurement follows logically from that classification. There are two stages to consider:

1. **Initial measurement** — what do you record when you first recognize the asset?
2. **Subsequent measurement** — how do you carry it on your books each reporting period?

Initial Measurement (IFRS 9.5.1)

The General Rule

All financial assets are initially measured at **fair value**.

However, what happens to transaction costs depends on the classification:

Classification	Transaction Costs	Initial Amount
FVTPL	Expensed immediately in P/L	Fair value only
Amortised Cost	Added to initial amount	FV + transaction costs
FVOCI (Debt)	Added to initial amount	FV + transaction costs
FVOCI (Equity OCI option)	Added to initial amount	FV + transaction costs

What Are Transaction Costs?

Incremental costs directly attributable to the acquisition of a financial asset: - Brokerage commissions and fees - Transfer taxes - Regulatory levies

NOT transaction costs (exclude): - Finance costs (interest) - Internal administrative costs - Debt premium/discount

Fair Value at Initial Recognition

In most cases, the fair value at initial recognition equals the **transaction price** (what you paid). However, if the transaction price differs from fair value — most commonly with a **below-market-rate loan** — the difference must be recognized:

Example: Below-Market Loan A parent company lends R1,000,000 to its subsidiary at 0% interest when market rate is 10% for 3 years.

Fair value of the loan at inception: PV of R1,000,000 in 3 years @ 10% = $R1,000,000 \times 0.7513148 = R751,314.80$

	Dr	Cr
Loan Receivable	751,314.80	
Equity (capital contribution to subsidiary)	248,685.20	
Cash		1,000,000.00

The discount (R248,685.20) is the economic substance of the benefit given to the subsidiary — recognized as an equity contribution or expense depending on the relationship.

Subsequent Measurement: Amortised Cost

The Core Concept

An asset measured at amortised cost is carried at:

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Amortised Cost = Initial Amount
                  + Cumulative interest income (EIR method)
                  - Cash received
                  ± Amortisation of premium/discount
                  - Impairment losses
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The Effective Interest Rate (EIR) Method

The EIR method is the single most frequently examined calculation in financial instruments. If you can build an amortisation table accurately under time pressure, you are well-positioned for any measurement question.

The EIR is the rate that **exactly discounts** all estimated future cash flows back to the gross carrying amount at initial recognition.

Think of EIR as the internal rate of return of the instrument — the rate that makes the present value of all inflows equal to the carrying amount.

Why not just use the coupon rate?

The coupon rate is applied to the *face value* (par). But if you paid a *premium* or *discount* to acquire the asset (i.e., not at par), the coupon rate understates or overstates your true return. The EIR corrects for this by spreading the premium/discount over the life of the instrument.

Worked Example: Bond at a Discount

Facts: - 3-year bond, face value R1,000,000, coupon rate 8% p.a. (paid annually) - Purchased for R950,262.96 (at a discount, because market rate = 10%) - Transaction costs: nil

EIR Calculation: EIR = 10% (the market rate that gives a PV of R950,262.96 for the cash flows)

Cash flows: - Year 1: R80,000 coupon - Year 2: R80,000 coupon - Year 3: R80,000 coupon + R1,000,000 principal = R1,080,000

PV @ 10%: $R80,000 \times 2.4868520 + R1,000,000 \times 0.7513148 = R198,948.16 + R751,314.80 = R950,262.96 \checkmark$

(Using the annuity factor for the three annual coupons, plus the single-sum PV factor for the R1,000,000 principal repayment at maturity. Do not add the Year 3 coupon into the principal — the annuity factor already captures all three coupons.)

Amortisation Table:

Year	Opening Balance	Interest @ 10% (EIR)	Coupon Received @ 8%	Closing Balance
1	950,262.96	95,026.30	(80,000.00)	965,289.26
2	965,289.26	96,528.93	(80,000.00)	981,818.19
3	981,818.19	98,181.81	(80,000.00)	1,000,000.00
3	1,000,000.00	—	(1,000,000.00)	0.00

Journal entries — Year 1:

Cash received (coupon):

Dr Cash	80,000.00	
Cr Interest Income		80,000.00

Interest income (EIR accrual – discount amortisation):

Dr Financial Asset – Bond	15,026.30	
Cr Interest Income		15,026.30

Total interest income Year 1 = R95,026.30

The key insight: you received only R80,000 in cash, but your true return was R95,026.30. The extra R15,026.30 represents the discount being amortised — your carrying amount increases toward face value over time.

Subsequent Measurement: FVOCI (Debt Instruments)

The Mechanics

For debt instruments at FVOCI: - **Interest income**: Recognized in P/L using the EIR method (same as amortised cost) - **Impairment losses**: Recognized in P/L (same as amortised cost) - **Foreign exchange gains/losses** on the amortised cost portion: in P/L - **Fair value changes** (the remainder): in **OCI**

On **derecognition** (sale), the cumulative OCI gain/loss is **recycled to P/L**.

Why Is It Called "FVOCI" if Interest Goes to P/L?

The *carrying amount* on the balance sheet is fair value. But the P/L treatment mirrors amortised cost — interest income, impairment, and FX go to P/L. Only the *residual* fair value movement (market price fluctuation beyond what the EIR model captures) goes to OCI.

Worked Example: FVOCI Debt Instrument

Facts (continuing from above): - Same bond, but classified FVOCI (hold to collect & sell) - End of Year 1: Market price of bond = R980,000 (fair value) - Carrying amount at amortised cost end Year 1 = R965,289.26

Year 1 Entries:

```
Interest income (EIR method – same as amortised cost):
Dr Financial Asset – Bond (amortised cost basis)    15,026.30
Dr Cash                                              80,000.00
    Cr Interest Income (P/L)                                95,026.30

Fair value adjustment (to bring to FV of R980,000):
FV = R980,000.00; Amortised cost carrying amount = R965,289.26
OCI adjustment needed = R980,000.00 - R965,289.26 = R14,710.74

Dr Financial Asset – Bond                            14,710.74
    Cr OCI (Fair Value Reserve)                        14,710.74
```

Statement of Financial Position: Bond carried at R980,000 (fair value) ✓

P/L impact: R95,026.30 interest income only **OCI impact:** R14,710.74 fair value gain

Subsequent Measurement: FVOCI (Equity Instruments – OCI Option)

Key Differences from FVOCI Debt

Feature	FVOCI Debt	FVOCI Equity
Interest in P/L	✓ Yes (EIR)	X No
Dividends in P/L	X No	✓ Yes (usually)
Impairment model	✓ Yes	X No
Recycling on derecognition	✓ Yes	X Never
OCI balance on sale	→ P/L	→ Retained earnings

Dividends Under the Equity OCI Option

Dividends from FVOCI equity investments are recognized in P/L **unless** the dividend clearly represents a recovery of part of the cost of the investment (e.g., a liquidating dividend or return of capital).

Worked Example: FVOCI Equity

Facts: - Entity purchases 100,000 shares in JSE-listed Growthpoint at R25/share (R2,500,000 total) - Transaction costs: R50,000 (added to initial carrying amount → R2,550,000) - Entity irrevocably designates as FVOCI equity at inception - End of year: Share price = R28/share → Fair value = R2,800,000 - Dividend received during year: R150,000

Journal Entries:

Initial recognition:

```
Dr Financial Asset – Growthpoint    2,550,000
    Cr Cash                                2,550,000
```

Dividend received:

```
Dr Cash                                150,000
    Cr Dividend Income (P/L)                150,000
```

Fair value adjustment at year end:

FV = R2,800,000; Carrying amount = R2,550,000; Gain = R250,000

```
Dr Financial Asset – Growthpoint    250,000
    Cr OCI (FV Reserve – Equity)        250,000
```

If shares are subsequently sold for R2,900,000:

Dr	Cash	2,900,000	
	Cr	Financial Asset – Growthpoint	2,800,000
	Cr	OCI (FV Reserve – Equity)	100,000 ← gain on sale

The cumulative OCI balance (now R350,000: R250,000 unrealized + R100,000 from sale) **transfers to retained earnings**, not to P/L. The gain on sale is **never seen in P/L**.

WARNING

Under IAS 39, selling an AFS equity investment WOULD have recycled gains to P/L. Under IFRS 9's equity OCI option, these gains are permanently locked out of P/L. This is a critical exam distinction.

Subsequent Measurement: FVTPL

The Simplest Category

Assets at FVTPL are measured at **fair value** at each reporting date. All changes — gains, losses, interest, dividends — go through **profit or loss**.

Dr / Cr	Financial Asset	(FV change)
Cr / Dr	Fair Value Gain/Loss	(P/L)

Transaction costs are expensed immediately — they do not form part of the carrying amount.

Why Would an Entity Choose FVTPL (via FVO)?

If holding an asset at amortised cost would create a measurement mismatch with a related liability measured at fair value, the FVO at FVTPL eliminates that mismatch. This is an accounting policy choice made irrevocably at inception.

Reclassification Between Categories

Reclassification is only permitted when the entity **changes its business model** — an expected to be very rare event.

From → To	Treatment on Reclassification Date
AC → FVTPL	Measure at FV; difference to P/L
AC → FVOCI	Measure at FV; difference to OCI
FVTPL → AC	FV at reclassification becomes new gross carrying amount; EIR calculated from that date
FVTPL → FVOCI	FV at reclassification becomes new carrying amount; EIR calculated from that date
FVOCI → AC	Cumulative OCI gain/loss removed from OCI and adjusted against gross carrying amount ; no P/L impact
FVOCI → FVTPL	Cumulative OCI gain/loss reclassified to P/L at reclassification date

Comprehensive Example: Multi-Asset Portfolio Measurement

Facts: Entity holds the following at 1 January 20X1:

Asset	Classification	Carrying Amount	Year-End FV	Cash Received
Trade receivable	Amortised Cost	R500,000	N/A	R500,000 collected
Corporate bond	FVOCI (Debt)	R800,000	R820,000	R60,000 interest (coupon)
Investment in BHP shares	FVTPL	R1,200,000	R1,050,000	R30,000 dividend
Investment in Sanlam shares	FVOCI (Equity OCI)	R600,000	R650,000	R20,000 dividend

Year-End Measurement:

Trade receivable: - Collected in full → derecognized. No measurement issue.

Corporate bond (FVOCI Debt): - Assume EIR method generates interest income of R72,000 - Cash received: R60,000 coupon - Amortised cost carrying amount: $R800,000 + R72,000 - R60,000 = R812,000$ - FV = R820,000; OCI adjustment = $R820,000 - R812,000 = R8,000$ - P/L: R72,000 interest income - OCI: R8,000 gain

BHP shares (FVTPL): - FV decline: $R1,200,000 \rightarrow R1,050,000 = R150,000$ loss - P/L: R30,000 dividend income; $R(150,000)$ FV loss = net R(120,000)

Sanlam shares (FVOCI Equity): - FV gain: $R650,000 - R600,000 = R50,000$ - P/L: R20,000 dividend income - OCI: R50,000 gain (never recycled)

Summary of Year-End P/L Impact:

Item	P/L
Bond interest income	+72,000
BHP dividend	+30,000
BHP FV loss	(150,000)
Sanlam dividend	+20,000
Net P/L	(28,000)

OCI Impact:

Item	OCI
Bond FV gain	+8,000
Sanlam shares FV gain	+50,000
Total OCI	58,000

Common Student Pitfalls

Pitfall	Correct Approach
Adding transaction costs to FVTPL assets	Transaction costs for FVTPL assets are expensed immediately
Using coupon rate instead of EIR for interest income	Always use the EIR — it's the rate that amortises premium/discount
Recycling FVOCI equity OCI gains to P/L on sale	Equity OCI gains transfer to retained earnings — never P/L
Forgetting that impairment applies to FVOCI debt but NOT FVOCI equity	Impairment model (ECL — see Part 6) applies to amortised cost AND FVOCI debt instruments
Treating all FV changes on FVOCI as going to P/L	Only interest (EIR), impairment, and FX on amortised cost go to P/L for FVOCI debt

Exam Technique

"Prepare the Journal Entries" Questions

1. **Identify the classification** first (from Part 2 work)
2. **Initial measurement:** $FV \pm$ transaction costs (as applicable)
3. **Interest income:** Always EIR method for AC and FVOCI debt
4. **Fair value movement:** Determine P/L vs OCI based on category
5. **Dividends:** P/L for FVTPL and FVOCI equity (unless return of capital)
6. **Impairment:** P/L for AC and FVOCI debt (covered in Part 6)

Mark Allocation Tip

For amortised cost questions, always present the **amortisation table** clearly — it shows the examiner your methodology and earns process marks even if you make an arithmetic error.

Key Takeaways

1. **All financial assets** are initially recognized at **fair value**; transaction costs added except for FVTPL
 2. **Amortised Cost:** EIR method for interest; changes in carrying amount through P/L
 3. **FVOCI Debt:** Same interest and impairment treatment as amortised cost in P/L; only residual FV changes go to OCI; recycled on derecognition
 4. **FVOCI Equity:** Dividends to P/L; all FV changes to OCI; OCI balance NEVER recycled to P/L
 5. **FVTPL:** Everything (FV changes, interest, dividends) goes to P/L
 6. **Reclassification** only on genuine business model change; applied prospectively
-

IFRS 9 Financial Instruments — Part 4: Financial Liabilities — Classification & Measurement

The Asymmetry Between Assets and Liabilities

When IFRS 9 was developed, the IASB made a deliberate choice: overhaul the classification of **financial assets** comprehensively, but make only targeted changes to **financial liabilities**. Why? Because the concerns that drove IFRS 9 (the 2008 crisis, incurred loss model, too many asset categories) were primarily about assets. The IAS 39 treatment of most financial liabilities was considered broadly appropriate.

The result is that financial liabilities under IFRS 9 look very similar to IAS 39 — with one important exception: **own credit risk on FVO liabilities**.

Classification of Financial Liabilities

The Two Categories

Financial liabilities are classified into one of two categories:

Category	Default or Elected?	Measurement
Amortised Cost	Default	EIR method
Fair Value Through Profit or Loss (FVTPL)	Elected (FVO) or mandatory	Fair value

Unlike financial assets, there is **no "hold to collect" or SPPI test** for liabilities. The default is amortised cost, and FVTPL is the exception.

Category 1: Amortised Cost (Default)

The vast majority of financial liabilities — borrowings, bonds payable, trade payables, lease liabilities — are measured at amortised cost using the EIR method.

Initial Measurement

Initial carrying amount = Fair value of proceeds received - Transaction costs

Transaction costs (issue costs, underwriting fees, legal fees) **reduce** the initial carrying amount. They are not expensed immediately — they are amortised over the life of the liability using the EIR method.

Subsequent Measurement: EIR Method

The EIR method for liabilities works in mirror image to assets:

$$\text{Closing Carrying Amount} = \text{Opening balance} + \text{Interest expense (EIR)} - \text{Cash paid}$$

The interest expense recognized in P/L equals the opening carrying amount $\times$ EIR — not the coupon rate. Any difference between the coupon paid and EIR interest accrual adjusts the carrying amount (amortising the discount or premium created by transaction costs).

Worked Example: Bond Issued at a Discount

Facts: - Entity issues a 3-year bond, face value R2,000,000, coupon 8% p.a. (paid annually) - Issue price: R1,900,525.92 (discount because market rate = 10%) - Transaction costs: nil (for simplicity)

EIR = 10% (market rate)

Amortisation Table:

Year	Opening Balance	Interest @ 10%	Coupon Paid @ 8%	Closing Balance
1	1,900,525.92	190,052.59	(160,000.00)	1,930,578.51
2	1,930,578.51	193,057.85	(160,000.00)	1,963,636.36
3	1,963,636.36	196,363.64	(160,000.00)	2,000,000.00

Year 1 Journal Entries:

Initial recognition:

Dr	Cash	1,900,525.92	
	Cr	Bond Payable	1,900,525.92

Year 1 interest expense (EIR):

Dr	Finance Cost (P/L)	190,052.59	
	Cr	Bond Payable	30,052.59 ← discount amortised
	Cr	Cash/Accrued Interest	160,000.00 ← coupon paid

Closing carrying amount: R1,930,578.51

 TIP

The finance cost is always HIGHER than the coupon paid when a bond is issued at a discount, and LOWER when issued at a premium. The difference adjusts the carrying amount toward face value over time. This is the same logic as assets — just from the liability perspective.

Category 2: FVTPL

Two Routes to FVTPL for Liabilities

Route 1: Mandatory — Held for Trading

A financial liability is classified as FVTPL if it is held for trading. This includes: - Derivative liabilities (e.g., a written option or a swap in a net liability position) - Short positions (selling borrowed securities) - Liabilities incurred specifically to repurchase in the near term

Route 2: Elected — The Fair Value Option (FVO)

An entity may irrevocably designate any financial liability at FVTPL at initial recognition if doing so **eliminates or significantly reduces an accounting mismatch**.

The FVO criteria are the same as for assets: the designation must result in more relevant information by removing a measurement inconsistency that would otherwise arise.

The IFRS 9 Innovation: Own Credit Risk

The Problem Under IAS 39

Under IAS 39, when a liability was designated at FVTPL via the FVO, **all** fair value changes went through P/L — including changes caused by the entity's own creditworthiness. This produced a deeply counterintuitive result:

*If your credit rating deteriorates (your bonds fall in value), the liability's fair value decreases — creating a **gain** in your P/L. The worse your financial health, the better your reported profit.*

This "day of reckoning paradox" was widely criticized as economically nonsensical and misleading to users.

The IFRS 9 Fix

The own credit risk treatment is a favourite exam topic — examiners love it because students consistently get tripped up. Know it precisely: own credit risk → OCI, never recycled, never P/L.

IFRS 9 separates the fair value movement on FVO financial liabilities into two components:

Component	Where it Goes
Change due to own credit risk	OCI (Other Comprehensive Income)
Change due to other factors (e.g., benchmark interest rate movements)	P/L

IMPORTANT

The own credit risk portion goes to OCI and is **never recycled to P/L** — not even on derecognition. It stays in OCI and is transferred directly to retained earnings on settlement.

When Does the Split Apply?

Only when a liability is designated at FVTPL via the FVO. Mandatory FVTPL liabilities (derivatives) continue to record all changes in P/L — there is no own credit risk split for trading liabilities.

Worked Example: Own Credit Risk

Facts: - Entity issues a 5-year bond with face value R10,000,000 and designates it at FVTPL (FVO) to eliminate an accounting mismatch with a related asset - At year-end: - Total fair value change = R(250,000) — the liability decreased in value - Of which, own credit risk deterioration caused: R(180,000) - Market interest rate movements caused: R(70,000)

Journal Entry:

Decrease in fair value (liability fell → gain):

Dr	Bond Payable – FVO	250,000	
	Cr	OCI (Own Credit Risk)	180,000 ← credit deterioration
	Cr	P/L (Finance Income)	70,000 ← market rate effect

Interpretation: - The R70,000 gain from market rate movement appropriately hits P/L (offsetting the asset side of the mismatch) - The R180,000 "gain" from credit deterioration is quarantined in OCI — it never boosts reported profit

Compound Financial Instruments (IAS 32 Link)

What is a Compound Instrument?

Some financial instruments contain both a **liability component** and an **equity component**. The classic example is a **convertible bond** — the holder has both: - A contractual right to receive interest and principal (liability) - An option to convert into a fixed number of ordinary shares (equity)

Accounting for Compound Instruments

IAS 32 requires the components to be **split and presented separately** from inception. IFRS 9 then measures the liability component at amortised cost (or FVTPL if designated).

The Split-Off Method (IAS 32.31):

1. Determine the fair value of the **liability component** (value of the bond without the conversion feature, i.e., PV of cash flows at market rate for a non-convertible equivalent bond)
2. The **equity component** = Total proceeds – Liability component

IMPORTANT

The equity component is determined as **aresidual**— not independently valued. The liability is valued first, and equity gets whatever is left over. This is the "with-and-without" method.

Worked Example: Convertible Bond

Facts: - Entity issues a 3-year convertible bond with face value R5,000,000, coupon 6% - Equivalent non-convertible bond rate: 9% - Proceeds received: R5,000,000 (par, because the conversion feature makes it attractive)

Step 1: Value the liability component PV of cash flows at 9% (non-convertible rate):

Year	Cash Flow	PV Factor @ 9%	PV
1	300,000	0.9174312	275,229.36
2	300,000	0.8416800	252,504.00
3	5,300,000	0.7721835	4,092,572.55
Liability Component			4,620,305.91

Step 2: Equity component R5,000,000.00 – R4,620,305.91 = **R379,694.09**

Journal Entry at Inception:

Dr	Cash	5,000,000.00	
	Cr	Financial Liability (Bond)	4,620,305.91
	Cr	Equity (Conversion Option)	379,694.09

Subsequent measurement: The liability is measured at amortised cost using 9% EIR. The equity component is never remeasured.

Derecognition of Financial Liabilities

A financial liability is removed from the balance sheet (derecognised) when the obligation is **discharged, cancelled, or expired**.

Common Derecognition Events

Event	Treatment
Repayment at maturity	Derecognize at carrying amount; no gain/loss if fully amortised to par
Early redemption	Difference between carrying amount and amount paid = gain/loss in P/L
Debt forgiveness	Carrying amount derecognized; gain in P/L (unless related party — may be equity)
Exchange for new debt (substantial modification)	Old liability derecognized; new liability recognized at fair value; difference in P/L

Substantial Modification

If the terms of a financial liability are modified, the entity must assess whether the modification is **substantial**.

A modification is substantial if the PV of the new cash flows (discounted at the original EIR) differs by **10% or more** from the PV of the original remaining cash flows.

Modification	Treatment
Substantial	Derecognize old; recognize new at FV; gain/loss in P/L
Not substantial	Adjust carrying amount; amortise the adjustment using the original EIR

CAUTION

During COVID-19, many South African companies renegotiated debt terms with banks. Determining whether those modifications were substantial (triggering derecognition) was a significant accounting issue. The same principle applies in any scenario where loan terms are restructured.

Common Student Pitfalls

Pitfall	Correct Approach
Classifying all liabilities at amortised cost	Check for held-for-trading (derivatives) and FVO elections
Ignoring transaction costs on liabilities	Transaction costs reduce the initial carrying amount and are amortised via the EIR
Putting own credit risk gains through P/L	Own credit risk on FVO liabilities → OCI, never P/L
Splitting compound instruments: doing equity first	Always value the liability first; equity is the residual
Using coupon rate instead of EIR for interest expense	EIR is the market rate at inception; always use this for P/L recognition
Treating all debt modifications as derecognition events	Apply the 10% test; only substantial modifications trigger derecognition

Exam Technique

Identifying the Correct Category

Step 1: Is it held for trading (including all derivative liabilities)? → FVTPL mandatory **Step 2:** Has the entity irrevocably designated it at FVTPL (FVO) to eliminate a mismatch? → FVTPL elected **Step 3:** Everything else → Amortised cost

For FVO Liability Questions

1. Calculate total fair value movement
2. Identify the portion attributable to own credit risk (usually given in the question)
3. Route own credit risk → OCI; remainder → P/L

For Compound Instrument Questions

1. Identify liability component cash flows
 2. Discount at equivalent non-convertible rate → Liability value
 3. Proceeds – Liability = Equity
 4. Show amortisation table for liability at EIR
-

Key Takeaways

1. **Most financial liabilities are at amortised cost** — the EIR method applies, spreading transaction costs and premium/discount over the instrument's life
 2. **FVTPL applies** to held-for-trading liabilities and those designated via the FVO to eliminate accounting mismatches
 3. **Own credit risk** on FVO liabilities goes to OCI (never P/L) under IFRS 9 — a key improvement over IAS 39
 4. **Compound instruments** (e.g., convertible bonds): split at inception using the "liability first" method; equity is the residual (IAS 32)
 5. **Derecognition**: on discharge; substantial modifications (10% test) also trigger derecognition
 6. Financial liabilities **cannot be reclassified** between categories
-

IFRS 9 Financial Instruments — Part 5: Derecognition

Why Derecognition Matters

Derecognition is the process of removing a financial asset or financial liability from an entity's statement of financial position. While it sounds like a simple "when do I take it off the books?" question, derecognition of financial assets is among the most complex areas of IFRS 9 — and a fertile source of exam questions.

The core challenge: **when an asset is transferred, is it really gone?** Or has the entity retained exposure to its risks and rewards?

Derecognition of Financial Assets

The Decision Tree

Learn this decision tree by heart. In the exam, draw it in rough before you start — it keeps you from jumping to conclusions. Derecognition questions reward methodical students who follow each step, not those who guess.

IFRS 9 provides a sequential decision framework for derecognition of financial assets:

```

Step 1: Have the contractual rights to cash flows expired?
    YES → Derecognize ✓
    NO  → Continue

Step 2: Has the entity transferred the asset?
    NO  → Do NOT derecognize (asset stays on balance sheet)
    YES → Continue

Step 3: Has substantially all the risks and rewards been transferred?
    YES → Derecognize ✓
    NO  → Continue

Step 4: Has substantially all the risks and rewards been RETAINED?
    YES → Do NOT derecognize (asset stays on balance sheet)
    NO  → Continue

Step 5 (Mixed situation): Has the entity retained control?
    YES → Recognize asset to extent of continuing involvement
    NO  → Derecognize ✓
  
```

Step 1: Expiry of Contractual Rights

The simplest case. If the rights to receive cash flows have lapsed (e.g., a receivable is written off as uncollectable or a bond matures), the asset is derecognized. No transfer is involved.

Step 2: Transfer of the Asset

A transfer occurs when the entity either: - **Transfers the contractual rights** to receive the cash flows (outright assignment), OR - **Retains the rights but assumes an obligation to pass on** those cash flows (pass-through arrangement)

Pass-Through Arrangements

For a pass-through to qualify, **three conditions must ALL be met**: 1. The entity has no obligation to pay unless it collects equivalent amounts from the original asset 2. Transfer of the collected cash flows to the eventual recipients is **not permitted to be delayed** beyond short periods 3. The entity has **no right to reinvest** those cash flows (except short-term investments in cash/cash equivalents during settlement periods)

Step 3 & 4: The Risks and Rewards Test

This is the heart of the derecognition assessment.

*"Risks and rewards" refers primarily to exposure to **variability in cash flows** — both positive (upside from early repayment, favorable rates) and negative (credit losses, interest rate risk).*

Scenario	Risks & Rewards Assessment	Treatment
Outright sale (no recourse, no repurchase obligation)	Substantially all transferred	Derecognize
Sale with full recourse for credit losses	Substantially all retained	Continue recognition
Sale with partial credit guarantee	Mixed	Assess continuing involvement
Repo agreement (sell + agree to repurchase at fixed price)	Substantially all retained (price risk stays)	Continue recognition
Securities lending	Substantially all retained (price risk stays)	Continue recognition
Sale of a senior tranche (junior retained)	Depends on structure	Assess retained exposure

 TIP

The risks and rewards test is not a precise calculation — it is a "substantially all" judgement. In practice, if an entity retains any credit risk or interest rate variability, carefully assess whether that constitutes "substantial" retention.

Step 5: The Control Test (Continuing Involvement)

When the risks and rewards outcome is mixed (neither substantially transferred nor substantially retained), the entity looks to **control**.

Control is retained if the entity has the practical ability to sell the transferred asset unilaterally. If control is retained, the entity recognizes the asset to the extent of its **continuing involvement**.

Continuing Involvement Accounting

Continuing involvement represents the maximum exposure to changes in value of the transferred asset.

Example: Entity sells a loan receivable for R1,000,000 but provides a credit guarantee up to R200,000 maximum loss.

- The entity derecognizes the asset (transferred most risks/rewards) but retains a continuing involvement of R200,000
- Recognize: A liability for the guarantee of R200,000 (initially at fair value)
- The asset is "retained" only to the extent of R200,000

Derecognition in Practice: Common Scenarios

Scenario 1: Factoring of Trade Receivables

A South African retailer sells R5,000,000 of trade receivables to a factor (financial institution) for R4,800,000.

With recourse: The retailer bears all credit risk. Substantially all risks retained. → **Do NOT derecognize**. Treat as a secured borrowing.

Dr	Cash	4,800,000	
Dr	Discount (Finance Cost)	200,000	
	Cr Financial Liability		5,000,000

Without recourse: The factor bears all credit risk. Substantially all risks transferred. → **Derecognize**.

Dr	Cash	4,800,000	
Dr	Loss on Derecognition	200,000	
	Cr Trade Receivables		5,000,000

⚠ CAUTION

Many "sale" arrangements in practice are actually secured borrowings. The legal form says "sale" but the economic substance is that the original holder still bears the risk. IFRS 9 always looks to **substance over form**.

Scenario 2: Repurchase Agreements (Repos)

Entity sells government bonds with fair value R10,000,000 and simultaneously agrees to repurchase them in 90 days at R10,200,000 (a fixed price).

- The entity bears the full risk of price changes between now and repurchase
- Substantially all risks retained → **Do NOT derecognize**

Dr	Cash	10,000,000	
	Cr Financial Liability (Repo)		10,000,000

(Interest expense @ EIR over 90-day term)

Scenario 3: Securitisation

Entity securitises a portfolio of home loans. It transfers R100,000,000 of loans to a Special Purpose Vehicle (SPV) which issues senior (R80,000,000) and junior (R20,000,000) notes. The entity retains the junior notes.

- Senior notes: investors bear the first R80m of value / risk
- Junior notes: entity bears losses first (first-loss piece)

Assessment: The entity retains exposure to variability in cash flows (through the junior notes and any credit enhancement). The portion of risk retained must be quantified. The entity derecognizes only the portion for which risks and rewards have been genuinely transferred (senior notes to external investors).

Derecognition of Financial Liabilities

Derecognition of financial liabilities is more straightforward than assets.

When to Derecognize

A financial liability is derecognized when it is **extinguished** — i.e., when the obligation is: - **Discharged** (paid in full) - **Cancelled** (creditor formally releases the obligation) - **Expired** (the obligation has legally lapsed)

Gain or Loss on Derecognition

$$\text{Gain/Loss} = \text{Carrying Amount of Liability} - \text{Amount Paid to Settle}$$

A gain arises when the entity pays *less* than the carrying amount (e.g., buys back bonds in the open market at a discount). A loss arises when more is paid.

Worked Example: Early Redemption

Entity has bonds on its books with a carrying amount of R2,050,000 (amortised cost, partially through their term). It repurchases them in the open market for R1,980,000.

Dr	Bond Payable	2,050,000	
	Cr Cash		1,980,000
	Cr Gain on Extinguishment (P/L)		70,000

Part Extinguishment

If an entity repurchases only part of its bonds:

1. Allocate the carrying amount between the part redeemed and the part retained (based on relative fair values at the repurchase date)
2. Derecognize the portion bought back
3. Recognize the resulting gain/loss in P/L

Substantial Modification of Financial Liabilities

(Introduced briefly in Part 4 — fuller treatment here)

If a financial liability is **renegotiated or modified**, the entity must determine:

10% Test: Compare the PV of the new cash flows (discounted at the **original EIR**) with the PV of the original remaining cash flows.

PV Difference	Treatment
$\geq 10\%$	Substantial → Derecognize old; recognize new at FV; gain/loss in P/L
$< 10\%$	Not substantial → Adjust carrying amount; amortise difference using original EIR

NOTE

Even if the 10% quantitative test is not breached, a modification may still be substantial if there has been a **qualitative change**—e.g., a change in the currency of the borrowing, conversion from fixed to floating rate, or change of debtor. Use judgement.

Treatment of Non-Substantial Modification

For a non-substantial modification, the new carrying amount is calculated as the PV of the modified cash flows discounted at the **original EIR**. The difference between the old carrying amount and this new PV is recognized immediately in P/L.

Worked Example: Debt Modification

Facts: - Loan payable: carrying amount R3,000,000; original EIR = 12%; 4 years remaining - Bank agrees to extend the term by 1 year and reduce the interest rate from 12% to 9% - New cash flows (PV at original 12% EIR): R2,650,000

10% Test: PV of original remaining cash flows at 12% = R3,000,000 (equal to carrying amount, simplification) PV of new cash flows at 12% = R2,650,000 Difference = R350,000 / R3,000,000 = 11.7% → **Substantial**

Journal:

```
Dr Financial Liability (old)      3,000,000
   Cr Financial Liability (new @ FV)    2,650,000
   Cr Gain on Modification (P/L)       350,000
```

New liability recognized at R2,650,000 and measured at amortised cost using the new EIR (9%).

Common Student Pitfalls

Pitfall	Correct Approach
Automatically derecognizing when legal title transfers	Substance over form: test risks and rewards, not legal form
Ignoring continuing involvement	When risks and rewards are mixed, quantify the retained exposure
Treating repos as sales	Repos retain risks and rewards → secured borrowings, not sales
Using the new EIR (not original) for the 10% test	The 10% test uses the ORIGINAL EIR to discount both old and new cash flows
Forgetting that debt modification gains/losses go to P/L	Both substantial and non-substantial modification adjustments are recognized in P/L
Treating full recourse factoring as a sale	With full recourse, credit risk is retained → it's a secured borrowing

Exam Technique

Derecognition of Assets — Framework to Apply

Step 1: Have the contractual rights expired? If yes → derecognize.

Step 2: Has there been a transfer? If no → keep on balance sheet.

Step 3: Assess risks and rewards: - Substantially all transferred → derecognize; calculate gain/loss - Substantially all retained → keep on balance sheet; treat as secured borrowing - Mixed → assess control and continuing involvement

Step 4: If derecognized, calculate:

$$\text{Gain/Loss} = \text{Proceeds received} - \text{Carrying amount} \pm \text{Fair value of any retained interest}$$

Mark Allocation Tip

Derecognition questions often earn marks for the *reasoning*, not just the conclusion. State: - Which test applies (risks and rewards) - What specific risk exposure is retained or transferred - The accounting consequence with a journal entry or balance sheet extract

Key Takeaways

1. **Derecognition of assets** follows a sequential test: expiry → transfer → risks & rewards → control
 2. **Substance over form**: legal sale ≠ accounting derecognition if risks are retained
 3. **Repos and full-recourse factoring** are secured borrowings — the asset stays on balance sheet
 4. **Continuing involvement**: when risks/rewards are mixed, only the retained exposure keeps the asset on balance sheet
 5. **Derecognition of liabilities**: when discharged, cancelled, or expired; gain/loss = carrying amount – settlement amount
 6. **Substantial modification** (10% test using original EIR): triggers derecognition of old liability and recognition of new one
-

IFRS 9 Financial Instruments — Part 6: Impairment — The Expected Credit Loss (ECL) Model

The Paradigm Shift: From Incurred Loss to Expected Loss

Of all the changes IFRS 9 introduced, the impairment model is arguably the most significant — and the most complex. Understanding *why* the model changed is essential to understanding *how* it works.

The IAS 39 Incurred Loss Model: The Problem

Under IAS 39, an impairment loss on a financial asset was only recognized when there was **objective evidence of impairment** — i.e., after a loss event had *already occurred*.

This "trigger event" approach meant: - A perfectly healthy borrower who had never missed a payment could have a loan with significant credit risk buildup — but no impairment was recognized until something happened - Banks were recognizing losses too late, in large, sudden amounts - The 2008 financial crisis saw banks writing off billions overnight because losses had been accumulating invisibly under the incurred loss model

The G20 and IASB were unambiguous: the incurred loss model was "too little, too late."

The IFRS 9 Expected Credit Loss (ECL) Model: The Solution

IFRS 9 replaced the incurred loss model with a model based on **expected future losses**. Under ECL:

Impairment is recognized from the moment a financial asset is first recognized, because every loan carries some probability of default — even if very small.

This means: - Day 1 loss allowances exist for all in-scope assets (even performing ones) - Loss allowances increase as credit quality deteriorates - Losses are recognized earlier, in smaller, more frequent amounts

Scope of the Impairment Model

The ECL impairment model applies to: - Financial assets at **amortised cost** - Financial assets at **FVOCI (debt instruments)** - **Lease receivables** (IFRS 16) - **Contract assets** (IFRS 15) - **Loan commitments** (not in scope of FVTPL) - **Financial guarantee contracts** (not measured at FVTPL)

It does **NOT** apply to: - Financial assets at FVTPL - Equity instruments (at FVTPL or FVOCI equity option)

The Three-Stage (General) Model

The three-stage model is the heart of IFRS 9 impairment. If you understand stages, SICR triggers, and interest base (gross vs net), you can handle any ECL question thrown at you.

The general ECL model classifies financial assets into three stages based on how their credit quality has changed since initial recognition:

STAGE 1 (Performing)		STAGE 2 (Underperforming)		STAGE 3 (Credit-Impaired)
Initial recognition	→	Significant increase in credit risk (SICR)	→	Credit impairment has occurred
12-month ECL Interest on GROSS carrying amount		Lifetime ECL Interest on GROSS carrying amount		Lifetime ECL Interest on NET carrying amount

Stage 1: Performing Assets

Condition: No significant increase in credit risk since initial recognition (or credit risk is low at reporting date)

Loss Allowance: 12-month ECL — the ECL resulting from default events possible within the next 12 months

Interest: Calculated on the **gross carrying amount** (before deducting loss allowance)

NOTE

12-month ECL does not mean the loss allowance equals 12 months' worth of cash flows. It means the probability of default within 12 months, multiplied by the loss given default, multiplied by the exposure at default — i.e., the portion of lifetime losses attributable to defaults that could occur in the next 12 months.

Stage 2: Significant Increase in Credit Risk

Condition: Credit risk has significantly increased since initial recognition, but the asset is not yet credit-impaired

Loss Allowance: Lifetime ECL — the ECL resulting from all possible default events over the expected life of the instrument

Interest: Still calculated on the **gross carrying amount**

The jump from Stage 1 to Stage 2 triggers a potentially large increase in the loss allowance — this is where the "cliff effect" can occur.

Stage 3: Credit-Impaired

Condition: One or more loss events have occurred that have a detrimental impact on estimated future cash flows

Loss Allowance: Lifetime ECL (same as Stage 2)

Interest: Calculated on the **net carrying amount** (gross carrying amount minus loss allowance — i.e., on the "credit-adjusted" balance)

This is the key operational difference from Stage 2: interest income is calculated on the reduced carrying amount, reflecting that the asset is credit-impaired.

Indicators of Credit Impairment: - Significant financial difficulty of the borrower - Breach of contract (e.g., default or delinquency in interest/principal payments) - Lender granting concession for economic or contractual reasons related to borrower's difficulty - Becoming probable that borrower will enter bankruptcy - Disappearance of an active market for the financial asset

Calculating ECL: The Components

ECL is calculated as:

$$\text{ECL} = \text{PD} \times \text{LGD} \times \text{EAD} \times \text{Discount factor}$$

Component	Definition	Example
PD	Probability of Default — likelihood the borrower defaults	2% chance of default in 12 months
LGD	Loss Given Default — percentage of exposure lost if default occurs	45% of outstanding balance lost
EAD	Exposure at Default — outstanding amount at time of default	R1,000,000
Discount factor	Discounts the expected loss back to reporting date using EIR	EIR = 8%

SA Context: ECL in Practice

The ECL model has had a profound impact on South African financial institutions. **The Big 4 banks — FNB, ABSA, Nedbank, and Standard Bank** — carry ECL allowances worth tens of billions of rands on their home loan, vehicle finance, and corporate lending books.

Key SA-specific considerations when calculating ECL: - **Macroeconomic overlays:** SA banks must incorporate forward-looking factors such as GDP growth forecasts, the unemployment rate, load shedding severity, and ZAR/USD exchange rate projections into their PD and LGD estimates - **SOE credit risk:** Exposure to state-owned entities (Eskom, Transnet) requires careful SICR assessment given the well-documented financial difficulties of these borrowers - **Unsecured lending:** SA has a significant unsecured lending market (personal loans, store cards). These portfolios typically have higher PDs and LGDs, driving larger ECL allowances

**TIP**

In exam questions, the PD, LGD, and EAD components are usually given to you. The skill is assembling them correctly, applying the right stage, and recognizing changes in the loss allowance in P/L.

12-Month ECL vs Lifetime ECL

	12-Month ECL (Stage 1)	Lifetime ECL (Stages 2 & 3)
PD horizon	12-month PD	PD over full remaining life
Loss calculation	$PD_{12m} \times LGD \times EAD$	Sum of $PD_t \times LGD \times EAD_t$ for each year t
Result	Smaller allowance	Larger allowance

Significant Increase in Credit Risk (SICR): The Critical Threshold

The most judgemental aspect of the ECL model is determining when credit risk has increased significantly — this triggers the Stage 1 → Stage 2 transition.

Key Principle

Compare the **risk of default at the reporting date** with the **risk of default at initial recognition**.

IFRS 9 uses the *change* in credit risk, not the absolute level. A BBB-rated borrower that **deteriorates to BB** has had a significant increase in credit risk — even though BB is still investment grade.

Indicators of SICR

Quantitative: - Significant increase in the PD (e.g., PD has doubled since initial recognition) - Downgrade below a specified credit rating threshold

Qualitative: - Breach of covenants - Extension of payment terms as an accommodation - Borrower experiencing significant financial difficulty - Adverse change in borrower's business, financial, or economic conditions

30-Day Backstop (IFRS 9.5.5.11): There is a rebuttable presumption that credit risk has increased significantly when **contractual payments are more than 30 days past due**. This is a minimum floor — SICR can be triggered earlier.

SA-Specific SICR Indicators: In the South African context, common triggers for SICR include: - Significant deterioration in a borrower's industry (e.g., construction sector downturn, retail sector under pressure from consumer spending declines) - Material adverse changes in the operating environment of SOE counterparties - Borrowers entering business rescue proceedings under the Companies Act - Sector-wide credit events (e.g., Steinhoff collapse triggering reassessment of related exposures)

The Low Credit Risk Simplification

If a financial asset has **low credit risk** at the reporting date, the entity may assume there has been no SICR (Stage 1 applies). Low credit risk approximates to an investment-grade equivalent (broadly, a PD comparable to Baa3/BBB– or better).

Measurement of ECL: Probability Weighting

ECL is a **probability-weighted** estimate — it is not a worst-case scenario, nor a best-case scenario. It must reflect:

1. An unbiased and probability-weighted amount
2. The time value of money (discounted at EIR)
3. Reasonable and supportable information available without undue cost or effort

Example: Probability-Weighted ECL

A bank has a R5,000,000 loan. At year end:

Scenario	PD	LGD	Loss	Probability
No default	70%	—	0	70%
Default, partial recovery	20%	40%	R2,000,000	20%
Default, full loss	10%	100%	R5,000,000	10%

ECL = $(0.70 \times R0) + (0.20 \times R2,000,000) + (0.10 \times R5,000,000) = R0 + R400,000 + R500,000 = \mathbf{R900,000}$ (before discounting)

Recognizing ECL Changes in P/L

Changes in the loss allowance (both increases and decreases) are recognized as **impairment gains or losses in P/L**.

Movement	P/L Impact
Loss allowance increases	Impairment loss (debit P/L)
Loss allowance decreases	Impairment gain (credit P/L) — often called "reversal"

```

Dr  Impairment Loss (P/L)           [increase in allowance]
    Cr  Loss Allowance Account       [balance sheet contra]

```

For **FVOCI debt instruments**, the loss allowance does not reduce the carrying amount on the balance sheet (the asset is carried at fair value). Instead, the loss allowance is recognized in P/L and OCI is adjusted.

The Simplified Approach: Trade Receivables, Lease Receivables, Contract Assets

Who Can Use It?

The simplified approach is **mandatory** for: - Trade receivables and contract assets **without a significant financing component**

It is **optional** for: - Trade receivables WITH a significant financing component - Lease receivables (under IFRS 16)

What is the Simplified Approach?

Under the simplified approach, there is no staging. The entity always recognizes **lifetime ECL** — from day one.

This dramatically simplifies the model for entities with large volumes of short-duration receivables (retailers, manufacturers, service companies).

The Provision Matrix

The most common tool for implementing the simplified approach is a **provision matrix** — a table that applies historical loss rates (adjusted for forward-looking information) to aging buckets of receivables.

Example: Provision Matrix

Aging Bucket	Total Receivables	Historical Loss Rate	Adjusted Loss Rate	ECL
Current (0–30 days)	R2,000,000	0.3%	0.5%	R10,000
31–60 days	R800,000	1.2%	1.8%	R14,400
61–90 days	R400,000	3.5%	5.0%	R20,000
91–180 days	R200,000	8.0%	12.0%	R24,000
>180 days	R100,000	25.0%	35.0%	R35,000
Total	R3,500,000			R103,400

Journal entry if prior year allowance was R80,000:

```

Dr Impairment Loss (P/L)          23,400
    Cr Loss Allowance                23,400
(Increase from R80,000 to R103,400)
  
```

IMPORTANT

The historical loss rates must be **adjusted for forward-looking information**. If the economy is deteriorating, macroeconomic factors (unemployment trends, GDP forecasts, sectoral outlooks) must be incorporated. Pure historical rates without adjustment are NOT acceptable under IFRS 9.

SA Context: The Provision Matrix in Practice

South African retailers like **Woolworths Financial Services**, **Mr Price Money**, and **TFG** (The Foschini Group) apply the provision matrix to their store card and credit portfolios. These entities manage hundreds of thousands of individual accounts — applying the general three-stage model to each account individually would be impractical.

When adjusting historical loss rates for forward-looking information, SA entities typically consider: - **Unemployment rate**: rising unemployment directly increases default rates on consumer credit - **Interest rate cycle**: SARB repo rate increases raise instalment payments, increasing default probability - **Consumer confidence index**: a proxy for willingness and ability to pay - **Load shedding**: prolonged power outages reduce business revenue, affecting both retail customers and SME borrowers

IAS 39 vs IFRS 9 Impairment: Side-by-Side

Feature	IAS 39 (Incurred Loss)	IFRS 9 (ECL)
When recognized	Only after loss event occurs	From initial recognition
Trigger	Objective evidence of impairment	Increase in credit risk
Measurement	Present value of impaired cash flows	$PD \times LGD \times EAD$ (probability-weighted)
Forward-looking	No (historical focus)	Yes (must use forward-looking info)
Complexity	Lower (binary: impaired or not)	Higher (3-stage model, continuous assessment)
Timing of losses	Too late	Earlier, more gradual
Trade receivables	Specific or portfolio provision	Provision matrix (simplified approach)

Worked Example: Three-Stage Model

Facts: Bank lends R10,000,000 to a corporate borrower on 1 January 20X1 at EIR 8%.

Initial recognition (1 Jan 20X1): - Stage 1 (no SICR yet) - 12-month ECL = $PD_{12m} 1\% \times LGD 40\% \times EAD R10,000,000$
= **R40,000**

Dr	Impairment Loss (P/L)	40,000	
	Cr	Loss Allowance	40,000

31 December 20X1 (1 year later): - Borrower's industry hit by recession; PD has increased materially since origination - Assessed as SICR → moves to **Stage 2** - Lifetime ECL = R480,000 (based on full $PD \times LGD \times EAD$ schedule over remaining 4 years)

Dr	Impairment Loss (P/L)	440,000	← (480,000 - 40,000)
	Cr	Loss Allowance	440,000

31 December 20X2: - Borrower misses two consecutive interest payments → credit-impaired → **Stage 3** - Lifetime ECL reassessed = R2,500,000 - Interest income now **calculated on NET carrying amount:** $(R10,000,000 - R2,500,000) \times 8\% = R600,000$

Loss allowance increase:

Dr	Impairment Loss (P/L)	2,020,000	← (2,500,000 - 480,000)
	Cr	Loss Allowance	2,020,000

Interest income (on net carrying amount):

Dr	Loan Receivable	600,000	
	Cr	Interest Income (P/L)	600,000

Write-offs and Recoveries

Write-offs

When there is no reasonable expectation of recovery, the **gross carrying amount** of the financial asset is reduced directly:

Dr	Loss Allowance	[amount written off]
	Cr	Loan/Receivable [amount written off]

Note: Write-offs reduce both the gross carrying amount AND the loss allowance — they do not affect the NET carrying amount (which was already reflecting the expected loss).

Recoveries

If a written-off amount is subsequently recovered:

Dr	Cash	
	Cr	Impairment Gain (P/L)

Purchased or Originated Credit-Impaired (POCI) Assets

What is a POCI Asset?

A financial asset is **purchased or originated credit-impaired** when one or more events that have a detrimental impact on estimated future cash flows have already occurred at the time the entity recognizes the asset. In other words, the asset is already impaired on Day 1.

Examples: - A bank buys a portfolio of non-performing loans at a deep discount from another bank - An entity originates a loan to a borrower already in financial distress, priced to reflect the credit risk - A debt instrument acquired in a distressed debt market

Why Does POCI Matter?

POCI assets follow different rules because the credit impairment is already reflected in the purchase price. If the entity applied the normal three-stage model, it would recognise a massive Day 1 loss allowance on an asset it bought *knowing* it was impaired — and already paid a reduced price for that risk. This would be economically misleading.

The POCI Rules

Feature	Normal Asset	POCI Asset
Day 1 loss allowance	12-month ECL recognised	No separate loss allowance
EIR used	Original EIR	Credit-adjusted EIR (reflects expected credit losses in the discount rate)
Subsequent impairment	Changes in ECL vs initial recognition	Changes in lifetime ECL from purchase date
Staging	Stages 1 → 2 → 3	No staging — always uses lifetime ECL
Interest income	Gross (Stages 1&2) or Net (Stage 3)	Always on net carrying amount (amortised cost)

Worked Example: POCI Asset

Facts: A South African bank purchases a portfolio of non-performing home loans with a face value of R50,000,000 for R30,000,000. The discount reflects the expected credit losses already embedded in the portfolio. The credit-adjusted EIR (incorporating expected defaults) is 14%.

At initial recognition:

Dr	Loan Portfolio (POCI)	30,000,000	
	Cr Cash		30,000,000

No separate loss allowance is recognised. The R20,000,000 discount already reflects expected credit losses through the credit-adjusted EIR.

Subsequently: - Interest income is calculated at 14% on the carrying amount - Only **changes** in lifetime ECL from the purchase date are recognised as impairment gains or losses - If conditions deteriorate further: additional impairment loss in P/L - If conditions improve (higher recoveries than expected): impairment gain in P/L — carrying amount can increase above initial recognition amount

CAUTION

Students commonly apply the normal three-stage model to POCI assets. The giveaway in an exam question is that the asset was acquired at a significant discount or was already in default at purchase. When you see this — apply POCI rules, not the general model.

Common Student Pitfalls

Pitfall	Correct Approach
Confusing 12-month ECL with 12 months' of cash flows	12-month ECL = losses from defaults in the next 12 months, not 12 monthly payments
Forgetting to use probability-weighted amounts	ECL is NOT the worst-case loss — it's the probability-weighted expected loss
Applying the general model to trade receivables	The simplified approach is mandatory for trade receivables without significant financing
Ignoring the SICR assessment	Staging is not optional — always assess whether credit risk has significantly increased
Using historical loss rates without forward-looking adjustment	IFRS 9 requires current and forward-looking information
Calculating interest on gross carrying amount for Stage 3	Stage 3: interest on NET (gross minus loss allowance) carrying amount
Forgetting that FVOCI debt instruments also need impairment	The ECL model applies to FVOCI debt — the loss goes to P/L (even though asset is at FV)
Applying the three-stage model to POCI assets	POCI assets use a credit-adjusted EIR and only recognise changes in lifetime ECL from purchase — no staging

Exam Technique

Step-by-Step for ECL Questions

Step 1: Identify the scope — is this asset subject to the ECL model?

Step 2: Identify the approach — General (3-stage) or Simplified?

Step 3 (General model): Determine the stage — assess SICR, check 30-day backstop

Step 4: Calculate the loss allowance (12-month ECL or Lifetime ECL as applicable)

Step 5: Calculate the movement (closing allowance – opening allowance)

Step 6: Recognize in P/L; present journal entries

Step 7: Calculate interest income — gross carrying amount (Stages 1 & 2) or net carrying amount (Stage 3)

Mark Allocation Tip

A 10-mark ECL question typically allocates: - Stage determination with reasoning: 3 marks - ECL calculation ($PD \times LGD \times EAD$): 3 marks - Journal entries or P/L impact: 2 marks - Interest income calculation: 2 marks

Key Takeaways

1. **IAS 39 (incurred loss)** recognized losses too late — only after a trigger event
2. **IFRS 9 (ECL)** recognizes losses from day one, based on forward-looking probability-weighted estimates
3. **Three stages:** Stage 1 (12-month ECL, interest on gross), Stage 2 (lifetime ECL, interest on gross), Stage 3 (lifetime ECL, interest on net)
4. **SICR** is the trigger for Stage 1 → 2; 30 days past due is the backstop
5. **Simplified approach** (always lifetime ECL) is mandatory for trade receivables without significant financing
6. **Provision matrix** is the practical tool for trade receivables — historical rates **MUST** be adjusted for forward-looking factors (unemployment, interest rates, GDP, and in SA, load shedding impact)
7. ECL applies to amortised cost AND FVOCI debt instruments
8. **POCI assets** (purchased already impaired) use a credit-adjusted EIR, have no Day 1 loss allowance, and only recognise changes in lifetime ECL from acquisition

IFRS 9 Financial Instruments — Part 7: Hedge Accounting — IAS 39 Framework

Why Study IAS 39 Hedge Accounting?

IFRS 9 contains its own hedge accounting chapter (Chapter 6), which replaced IAS 39's hedge accounting requirements. However, you must understand both for three reasons:

1. **Exam relevance:** Many exam questions are set in the context of transitioning from IAS 39 to IFRS 9, or require you to compare the two frameworks.
 2. **Transition provisions:** When IFRS 9 was adopted, entities were permitted to continue applying IAS 39 hedge accounting. Some entities — particularly those with macro hedging programmes — still apply IAS 39 hedging while the IASB finalises IFRS 9 macro hedge accounting.
 3. **Foundation for IFRS 9:** IFRS 9 hedge accounting builds on IAS 39 concepts. You cannot understand what changed without understanding what was there before.
-

The Purpose of Hedge Accounting

Before diving into the mechanics, understand *why* hedge accounting exists.

The Accounting Mismatch Problem

Consider a South African mining company (Harmony Gold) that: - Has a forecast sale of 10,000 oz of gold in 6 months (unrecognized — not yet a financial asset) - Enters into a forward contract to sell gold at a fixed price (a derivative — recognized at fair value)

Without hedge accounting: - The forward contract is marked to market each quarter → gains/losses in P/L - The forecast gold sale is not recognized → no offsetting entry - Result: artificial P/L volatility that doesn't reflect the economic reality of a hedged position

With hedge accounting: - The gains/losses on the derivative are matched with the gains/losses on the hedged item - P/L reflects the *net* economic exposure, not the gross movement on the derivative alone - This better represents the entity's actual risk management activity

IMPORTANT

Hedge accounting is an **exception** to the normal accounting rules. It requires meeting strict qualifying criteria. Entities cannot simply apply it because they think they have an economic hedge.

The Three Types of Hedges

Both IAS 39 and IFRS 9 recognize three types of hedge relationships:

Hedge Type	Hedged Item	Risk Being Hedged	Example
Fair Value Hedge	A recognized asset, liability, or firm commitment	Changes in fair value	Fixed-rate debt hedged with an interest rate swap
Cash Flow Hedge	A highly probable forecast transaction or variable-rate asset/liability	Variability in cash flows	Forecast USD export hedged with a forward contract
Net Investment Hedge	A net investment in a foreign operation	Foreign exchange risk	USD subsidiary equity hedged with USD borrowing

IAS 39 Qualifying Criteria

Under IAS 39, **all six of the following criteria must be met** for hedge accounting to apply:

1. Formal Designation and Documentation

At inception, the entity must prepare formal documentation covering: - The hedging relationship - The entity's risk management objective and strategy - Identification of the hedging instrument - Identification of the hedged item - Nature of the risk being hedged - How the entity will assess effectiveness

CAUTION

Documentation is not optional or retrospective. If it is not done at inception, hedge accounting cannot be applied — even if everything else qualifies. This is a common real-world pitfall.

2. The Hedging Instrument

Under IAS 39, qualifying hedging instruments are: - **Derivatives** (forwards, futures, options, swaps) — most commonly used - **Non-derivative financial instruments** — only for hedges of foreign currency risk

An entity **cannot** designate a non-derivative as a hedging instrument for interest rate risk or commodity price risk under IAS 39.

Written options (where the entity receives a premium) are generally **not** permitted as hedging instruments unless they are used to offset a purchased option in the hedged item.

3. The Hedged Item

Qualifying hedged items include: - A recognized financial asset or liability - An unrecognized firm commitment (for fair value hedges) - A highly probable forecast transaction (for cash flow hedges) - A net investment in a foreign operation

Cannot be hedged items under IAS 39: - Held-to-maturity investments (for interest rate risk or prepayment risk) - An entity's own equity instruments - Forecast transactions that are not highly probable

4. The Hedge Must be Expected to be Highly Effective

IAS 39 requires the hedge to be **highly effective** — a term defined with quantitative precision.

5. Effectiveness is Reliably Measurable

The fair value or cash flows of both the hedging instrument and the hedged item must be reliably measurable.

6. Ongoing Assessment of Effectiveness

Effectiveness must be assessed **prospectively** (at designation and each reporting date) and **retrospectively** (on actual results).

The IAS 39 Effectiveness Test: The 80–125% Rule

This is the most distinctive (and criticized) aspect of IAS 39 hedge accounting.

The Quantitative Test

The 80–125% test is mechanical — and examiners expect you to calculate the ratio, state whether it falls within range, and conclude. Don't skip any of those steps; each one earns marks.

A hedge is considered highly effective under IAS 39 if the ratio of:

$$\frac{\text{Change in fair value / cash flows of the hedging instrument}}{\text{Change in fair value / cash flows of the hedged item}}$$

falls within the range of 80% to 125%

Example:

	Gain/Loss
Hedging instrument (forward contract gain)	+R1,050,000
Hedged item (bond fair value loss)	-R1,000,000

Effectiveness ratio = $R1,050,000 / R1,000,000 = 105\%$ → Within 80–125% → Highly effective ✓

Another example:

	Gain/Loss
Hedging instrument gain	+R700,000
Hedged item loss	-R1,000,000

Effectiveness ratio = $R700,000 / R1,000,000 = 70\%$ → Outside 80–125% → Not effective ✗

If the hedge fails the test at any assessment date, **hedge accounting must be discontinued** from that date.

Problems with the 80–125% Rule

- **Cliff effect:** A hedge that is 79% effective gets no hedge accounting treatment; 80% gets full treatment
- **Arbitrary threshold:** There is no theoretical basis for the 80–125% range
- **Mechanistic:** Economic hedges that don't meet the ratio are excluded even if the risk management is sound
- **Volatility from exclusion:** When hedge accounting is lost, the derivative's full fair value movement hits P/L

These problems were a primary driver for IFRS 9's principles-based effectiveness approach (see Part 8).

Type 1: Fair Value Hedge Accounting

Objective

To offset the exposure to changes in the fair value of a recognized asset, liability, or firm commitment.

Accounting Treatment

Item	Treatment
Gain/loss on hedging instrument	Recognized in P/L
Gain/loss on hedged item (attributable to hedged risk)	Recognized in P/L (adjusting the carrying amount of the hedged item)

The key insight: **the hedged item is adjusted to reflect** the fair value movement attributable to the hedged risk — even if it would normally be carried at amortised cost. This adjustment is called the "hedge adjustment" or "basis adjustment."

Worked Example: Interest Rate Swap — Fair Value Hedge

Facts: - Entity issues a 3-year fixed-rate bond at 8% (face value R10,000,000) — liability at amortised cost - Enters into a receive-fixed, pay-floating interest rate swap to convert the fixed rate exposure to floating - At year end: interest **rates rise** → fair value of bond falls → fair value of swap (asset position) rises

	Gain/(Loss)
Swap (hedging instrument): fair value gain	+R200,000
Bond (hedged item): fair value decrease attributable to interest rate risk	-R200,000

Journal Entries — Year 1:

```

Gain on hedging instrument (swap):
Dr  Swap Asset                200,000
   Cr  Fair Value Gain (P/L)                200,000

Loss on hedged item (bond – hedge adjustment):
Dr  Fair Value Loss (P/L)      200,000
   Cr  Bond Payable (hedge adjustment)      200,000
  
```

Net P/L impact: R200,000 gain – R200,000 loss = **NIL** ✓

The two P/L movements cancel out — this is exactly the purpose of fair value hedge accounting.

Type 2: Cash Flow Hedge Accounting

Objective

To offset the exposure to variability in cash flows attributable to a particular risk associated with a recognized asset/liability or a highly probable forecast transaction.

Accounting Treatment

Component	Treatment
Effective portion of gain/loss on hedging instrument	OCI (deferred until the hedged cash flow affects P/L)
Ineffective portion of gain/loss on hedging instrument	P/L immediately
When hedged transaction occurs and affects P/L	Reclassify from OCI to P/L
When hedged transaction results in a non-financial asset/liability	Basis adjustment (include in cost of asset) OR reclassify from OCI when affects P/L

IMPORTANT

Only the **effective** portion goes to OCI. Any ineffectiveness (gain/loss on the derivative that doesn't offset the hedged item) goes straight to P/L. This is where the 80–125% test has bite — large ineffectiveness means large immediate P/L charges.

Worked Example: Forward Contract — Cash Flow Hedge

Facts: - Sasol expects to purchase 1,000,000 barrels of crude oil in 6 months (highly probable forecast transaction)
 - Enters into a forward contract to buy oil at \$80/barrel (hedging instrument) - At reporting date: oil price has risen to \$90/barrel → Forward contract has a fair value of \$10,000,000 gain (effective)

At Reporting Date:

Recognize effective portion in OCI:

Dr	Forward Contract (Asset)	10,000,000	
	Cr	Cash Flow Hedge Reserve (OCI)	10,000,000

When Oil is Purchased (6 months later): Assume oil price at settlement = \$88/barrel. **Actual gain on forward = \$8,000,000.**

```

Settle forward contract:
Dr  Cash                      8,000,000
   Cr  Forward Contract (Asset)      8,000,000
      (plus adjustment for change in FV since reporting date)

Recognize oil inventory (hedged item):
Dr  Inventory (Oil)          88,000,000  ← at spot price
   Cr  Cash                      88,000,000

Reclassify OCI to reduce cost of inventory (basis adjustment):
Dr  Cash Flow Hedge Reserve (OCI)  8,000,000
   Cr  Inventory (Oil)              8,000,000

Net: Inventory carried at R80,000,000 (locked-in forward price)

```

Economic result: Sasol effectively paid \$80/barrel regardless of market movements — the hedge accounting reflects this.

Type 3: Net Investment Hedge

Objective

To hedge the foreign currency exposure arising from a net investment in a foreign operation (subsidiary, associate, JV, branch).

Accounting Treatment

Component	Treatment
Effective portion of gain/loss on hedging instrument	OCI (translation reserve)
Ineffective portion	P/L
On disposal of the foreign operation	Reclassify cumulative OCI to P/L

Hedging Instruments

Uniquely, both **derivative** and **non-derivative** instruments can be used as hedging instruments for net investment hedges. A common real-world example is using a foreign currency **borrowing** (non-derivative) to hedge the FX exposure on a foreign subsidiary.

Example: - Naspers has a USD subsidiary with net assets of \$50,000,000 - Naspers has USD borrowings of \$30,000,000 designated as a net investment hedge - If ZAR weakens against USD: the USD subsidiary's net assets

increase in ZAR (gain in OCI under IAS 21); the USD borrowing also increases in ZAR (loss) — but this loss goes to OCI (instead of P/L) under the hedge

Discontinuation of Hedge Accounting

IAS 39 requires hedge accounting to be discontinued when:

Reason	Effect
Hedging instrument expires, is sold, terminated, or exercised	Prospective discontinuation
Hedge no longer meets qualifying criteria (e.g., fails effectiveness test)	Prospective discontinuation
Forecast transaction is no longer highly probable	OCI balance reclassified to P/L immediately
Entity revokes the designation (voluntary)	Prospective discontinuation

On discontinuation of a **cash flow hedge**: - If the hedged transaction is still expected to occur → cumulative OCI balance remains and is reclassified when the transaction affects P/L - If the hedged transaction is NO LONGER expected to occur → cumulative OCI balance reclassified to P/L **immediately**

Common Student Pitfalls

Pitfall	Correct Approach
Applying hedge accounting without documentation at inception	Documentation must exist at the START — not retroactively
Putting the ineffective portion into OCI	Ineffective portion always goes to P/L immediately
Forgetting that fair value hedge adjusts the hedged item's carrying amount	The hedged item (e.g., bond at amortised cost) gets adjusted for hedge-attributable FV changes
Confusing cash flow and fair value hedges	Fixed rate exposure → fair value hedge. Variable / forecast → cash flow hedge
Recycling the OCI balance when hedged forecast transaction is still probable	Only recycle when the transaction affects P/L (or if no longer probable → recycle immediately)
Ignoring the 80–125% effectiveness test in IAS 39 questions	Always calculate the ratio; conclude on whether hedge accounting continues

Exam Technique

Identifying the Type of Hedge

- Is the hedged item a **recognized asset/liability or firm commitment**? → Fair value hedge
- Is the hedged item a **forecast transaction or variable rate item**? → Cash flow hedge
- Is the hedged item a **net investment in a foreign operation**? → Net investment hedge

For Cash Flow Hedge Questions

1. Determine the effective and ineffective portions
2. Effective → OCI; Ineffective → P/L
3. Reclassify OCI to P/L when the hedged item affects P/L
4. Show cumulative OCI balance (hedge reserve) movement

Mark Allocation Tip

For a 12-mark hedge accounting question: - Identify type of hedge with justification: 2 marks - Check qualifying criteria: 2 marks - Effectiveness assessment (80–125%): 2 marks - Journal entries for each period: 4 marks - Discontinuation treatment (if applicable): 2 marks

Key Takeaways

1. **Hedge accounting** prevents artificial P/L volatility by matching gains/losses on the hedging instrument with the hedged item
 2. **IAS 39 has three hedge types**: fair value, cash flow, net investment
 3. **Six criteria** must all be met — documentation at inception is non-negotiable
 4. **The 80–125% effectiveness test** is IAS 39's quantitative threshold — failing it means losing hedge accounting
 5. **Fair value hedges**: both the derivative and the hedged item are adjusted through P/L → they cancel
 6. **Cash flow hedges**: effective portion in OCI; reclassified to P/L when the hedged cash flow affects P/L
 7. **Net investment hedges**: effective portion in OCI (translation reserve); recycled on disposal of foreign operation
-

IFRS 9 Financial Instruments — Part 8: Hedge Accounting — IFRS 9 Framework

What Changed and Why

IFRS 9's hedge accounting chapter (Chapter 6) was the third and final phase of the IFRS 9 project. The IASB's stated goal was to align hedge accounting more closely with entities' **actual risk management activities** — and to remove the arbitrary, rules-based constraints of IAS 39 that prevented many legitimate economic hedges from qualifying.

The Core Philosophical Shift

	IAS 39	IFRS 9
Philosophy	Rules-based	Principles-based
Effectiveness test	Quantitative: 80–125%	Qualitative: economic relationship
Rebalancing	Not permitted	Permitted (and required)
Voluntary discontinuation	Permitted	Not permitted (unless relationship ceases)
Risk components	Limited	Expanded
Hedged items	Narrower	Expanded (e.g., aggregated exposures)
Disclosures	IFRS 7	Enhanced IFRS 7 requirements

IFRS 9 Qualifying Criteria

IFRS 9 retains the same three types of hedges (fair value, cash flow, net investment) and the same requirement for formal designation and documentation. However, the qualifying criteria are restructured and relaxed:

Criterion 1: Formal Designation and Documentation

Same as IAS 39 — documentation must exist **at inception** and must cover: - The hedging relationship (instrument + item + risk) - The entity's risk management objective and strategy - How the entity will assess whether the hedging relationship meets the effectiveness requirements

Criterion 2: The Three Effectiveness Requirements (IFRS 9.6.4.1)

IAS 39's six criteria are replaced by three (plus the documentation requirement):

Requirement (a): Economic Relationship There must be an economic relationship between the hedged item and the hedging instrument. This means that the hedging instrument and the hedged item have values that move in opposite directions because of the same risk.

Under IAS 39 you had to prove effectiveness quantitatively. Under IFRS 9 you need to demonstrate that there is a logical reason why they should offset.

Requirement (b): Credit Risk Does Not Dominate The effect of credit risk on the fair value of the hedging instrument or the hedged item should not be so large that it dominates the value changes resulting from the economic relationship.

If a highly credit-impaired counterparty wrote your derivative, the derivative's value would be driven primarily by the counterparty's credit risk, not by the hedged risk — the economic relationship breaks down.

Requirement (c): Hedge Ratio The hedge ratio used in the designated hedging relationship must be the same as the one the entity actually uses for risk management purposes. An entity cannot designate an artificially high or low hedge ratio to achieve a desired accounting outcome.

The IFRS 9 Effectiveness Assessment: No More 80–125%

This is the most significant practical change.

Out: The 80–125% Quantitative Test

This is where IAS 39 vs IFRS 9 comparison questions live. Know the five key differences (effectiveness test, rebalancing, voluntary discontinuation, risk components, cost of hedging) and you can score full marks on any comparison question.

IFRS 9 **abolishes the 80–125% rule**. There is no quantitative pass/fail threshold for hedge effectiveness.

In: The Principles-Based Assessment

The entity must assess whether the hedging relationship meets the effectiveness requirements — specifically whether: 1. An economic relationship exists (qualitative) 2. Credit risk doesn't dominate (qualitative) 3. The hedge ratio aligns with actual risk management (quantitative — but not against a fixed threshold)

The assessment must be performed at inception and at each reporting date.

Calculating Ineffectiveness

Even though there is no pass/fail test, **ineffectiveness is still calculated and recognized in P/L**. The method is the same as IAS 39 — the gain/loss on the hedging instrument that does not offset the gain/loss on the hedged item goes to P/L.

IMPORTANT

Removing the 80–125% test does NOT mean that all ineffectiveness goes to OCI. Ineffectiveness still hits P/L — the change is that you no longer lose hedge accounting entirely if ineffectiveness is large. You simply recognize the ineffective portion in P/L and continue with hedge accounting.

Rebalancing: The Key New Concept

What is Rebalancing?

Under IAS 39, if a hedge started to become ineffective (e.g., because the entity hedged 100 tons of copper but only needs to hedge 80 tons now), the options were: - Accept ineffectiveness and risk losing hedge accounting if it breaches 80–125% - Voluntarily discontinue and re-designate — but this caused a discontinuity

IFRS 9 introduces **rebalancing**: when the hedge ratio needs adjustment to maintain alignment with actual risk management, the entity can adjust the designation (increase or decrease the quantity of the hedging instrument or hedged item) **without discontinuing** the hedge relationship.

When is Rebalancing Required?

Rebalancing is required (not just permitted) when: - The economic relationship still exists - Credit risk doesn't dominate - But the hedge ratio no longer reflects what the entity is actually doing for risk management

How Rebalancing Works

Increasing the hedged item (or decreasing the hedging instrument): - The additional quantity is **treated as a new designation from the rebalancing date** - Previously accumulated OCI and basis adjustments are unaffected

Decreasing the hedged item (or increasing the hedging instrument): - **The removed portion is treated as a partial discontinuation** - Accumulated OCI relating to the discontinued portion is reclassified to P/L (or remains in OCI if the hedged item is still expected to occur)

**TIP**

Think of rebalancing as "fine-tuning" the hedge designation to keep it aligned with reality, without starting over. This makes hedge accounting far more operationally practical than under IAS 39.

Discontinuation Under IFRS 9

Mandatory Discontinuation Only

A key change from IAS 39: under IFRS 9, **voluntary discontinuation of a qualifying hedge is NOT permitted**.

If the hedging relationship still meets all qualifying criteria, the entity must continue applying hedge accounting.

Discontinuation is only required when the qualifying criteria are no longer met — specifically when: - The economic relationship no longer exists - Credit risk has come to dominate - The hedging instrument expires, is sold, terminated, or exercised - The hedged item ceases to exist (or the forecast transaction is no longer highly probable)

Why This Change?

Under IAS 39, some entities exploited voluntary discontinuation opportunistically — they would discontinue a hedge when it was advantageous to take the OCI gains to P/L, then re-designate. IFRS 9 closes this arbitrage.

Expanded Eligibility: Risk Components

The IAS 39 Limitation

Under IAS 39, only financial items could be designated in their entirety, or a specific risk component (e.g., the JIBAR component of interest rate risk). For **non-financial items** (commodities, etc.), only the total fair value change could be hedged — not a specific risk component.

Example of the problem: A bakery wants to hedge only the wheat price risk in its bread input costs (not the processing cost, transport cost, etc.). Under IAS 39, it had to designate the full cost — making it impossible to achieve a clean hedge.

IFRS 9 Expansion

IFRS 9 allows **separately identifiable and reliably measurable** risk components of **both financial and non-financial items** to be designated as hedged items.

This means the bakery can now designate: - The wheat commodity price component of its bread input cost as the hedged item - A wheat futures contract as the hedging instrument - Without needing to worry about the non-wheat components

Similarly, an airline can hedge: - The jet fuel price component of its ticket costs - Using crude oil futures (even if the hedged item is jet fuel, not crude)

NOTE

For non-financial risk components, the entity must demonstrate that the risk component is **separately identifiable** and **reliably measurable**—this is still a judgement call.

Expanded Eligibility: Aggregated Exposures

IFRS 9 permits an **aggregated exposure** (a combination of an exposure and a derivative) to be designated as a hedged item.

Example: - Entity has variable rate debt (floating rate risk) - Enters into a receive-floating, pay-fixed swap to convert it to fixed rate (now a fair value hedge) - Then wants to hedge the fair value of the combined "synthetic fixed rate debt" using another derivative

Under IAS 39, the synthetic instrument couldn't be designated as a hedged item. Under IFRS 9, this layered hedging strategy is permitted.

Accounting Entries: Aligned with IAS 39

The **accounting entries** for the three hedge types under IFRS 9 are largely the same as IAS 39 (see Part 7). The key changes are in the *eligibility criteria* and *ongoing assessment*, not in how the entries are recorded.

Hedge Type	Hedging Instrument	Hedged Item	Net P/L
Fair value	P/L (fair value)	P/L (basis adjustment)	Net to zero if perfect
Cash flow — effective	OCI	No entry until transaction occurs	Zero (until reclassification)
Cash flow — ineffective	P/L	No entry	Immediate P/L charge
Net investment — effective	OCI (translation reserve)	No separate entry	Zero until disposal

Costs of Hedging

A New IFRS 9 Concept

When a hedging instrument has components that are excluded from the hedge designation (e.g., the time value of a purchased option, or forward points in a forward contract), IFRS 9 provides a specific treatment:

Option Time Value: An entity may designate only the intrinsic value of an option as the hedging instrument, excluding its time value. The time value is then treated as a "cost of hedging": - Recognized in OCI initially - **Reclassified to P/L systematically over the period** the hedge relates to (for transaction-related hedged items) or when the hedged item affects P/L

Forward Points: An entity may designate only the spot element of a forward contract as the hedging instrument. The forward points (the premium/discount) are treated similarly as a cost of hedging through OCI.

This treatment prevents the time value or forward points from creating unwanted P/L volatility, while still recognizing them as a cost of the hedging strategy over time.

IAS 39 vs IFRS 9 Hedge Accounting: Comprehensive Comparison

Feature	IAS 39	IFRS 9
Effectiveness test	80–125% quantitative	Economic relationship (qualitative)
Rebalancing	Not permitted	Permitted and required
Voluntary discontinuation	Permitted	Not permitted
Non-financial risk components	Cannot be designated alone	Can be designated if identifiable/measurable
Aggregated exposures	Cannot be hedged items	Can be hedged items
Option time value	Ineffectiveness if excluded from designation	Cost of hedging treatment (OCI)
Forward points	Ineffectiveness if excluded	Cost of hedging treatment (OCI)
Written options as instruments	Generally not permitted	Permitted in some circumstances
Macro hedging	Permitted (IAS 39.AG114–132)	Not yet addressed; IAS 39 may continue

Worked Example: IFRS 9 Cash Flow Hedge with Rebalancing

Facts: - Impala Platinum expects to sell 10,000 oz of platinum in 3 months (highly probable) - Enters into a forward contract to sell 10,000 oz at R18,000/oz - At the next reporting date: expects to sell only 8,000 oz (revised forecast) - The economic relationship still exists; credit risk is not dominant

Rebalancing (reducing the hedged item): - The hedged item is reduced from 10,000 oz to 8,000 oz - The 2,000 oz portion of the forward that no longer has a corresponding hedged item is discontinued - Accumulated OCI for the 2,000 oz portion: assess whether forecast transaction for those oz is still expected → if NO → reclassify immediately to P/L; if YES → retain in OCI

Before rebalancing: 10,000 oz hedged; 10,000 oz forward designated
 After rebalancing: 8,000 oz hedged; 8,000 oz forward designated
 2,000 oz forward: assess OCI treatment on discontinuation

Under IAS 39, this would likely require full discontinuation and re-designation — creating a gap in hedge accounting. Under IFRS 9, rebalancing allows continuous hedge accounting with minimal disruption.

Common Student Pitfalls

Pitfall	Correct Approach
Saying IFRS 9 has no effectiveness test	There is still an effectiveness assessment — just no 80–125% threshold
Forgetting that ineffectiveness still goes to P/L	Removing the 80–125% test doesn't eliminate P/L ineffectiveness
Applying voluntary discontinuation under IFRS 9	IFRS 9 only allows mandatory discontinuation when criteria are no longer met
Assuming any risk component can be designated	Must be separately identifiable AND reliably measurable
Ignoring the cost of hedging treatment for time value	Option time value and forward points have a specific OCI deferral treatment
Treating rebalancing as discontinuation	Rebalancing is an adjustment to an ongoing hedge — not a stop and restart

Exam Technique

IFRS 9 vs IAS 39 Comparison Questions

These are common at CTA level. Structure your answer as:

1. **Effectiveness:** IAS 39 = 80–125% (quantitative); IFRS 9 = economic relationship (qualitative)
2. **Rebalancing:** IAS 39 = not permitted; IFRS 9 = permitted/required
3. **Discontinuation:** IAS 39 = voluntary allowed; IFRS 9 = mandatory only
4. **Eligible items:** IFRS 9 = broader (risk components of non-financials, aggregated exposures)
5. **Cost of hedging:** IFRS 9 introduces specific OCI treatment for time value and forward points

For Hedge Accounting Questions Generally

Always start by: 1. Identifying the type of hedge (fair value / cash flow / net investment) 2. Confirming qualifying criteria are met 3. Determining effective vs ineffective portions 4. Processing the journal entries in the correct accounts (OCI vs P/L)

Mark Allocation Tip

An IFRS 9 vs IAS 39 comparison worth 10 marks typically allocates 2 marks per key difference — aim to identify at least 5 clear, explained differences.

Key Takeaways

1. **IFRS 9 hedge accounting** is principles-based; IAS 39 was rules-based
 2. **The 80–125% quantitative test is abolished** — replaced by a qualitative economic relationship assessment
 3. **Ineffectiveness still hits P/L** — the change is that a hedge doesn't collapse if ineffectiveness is high
 4. **Rebalancing** allows adjustment of hedge ratios without discontinuation — a major practical improvement
 5. **Voluntary discontinuation is prohibited** — preventing opportunistic cherry-picking
 6. **Risk components** of non-financial items can now be designated as hedged items
 7. **Cost of hedging** (option time value, forward points) gets OCI deferral treatment, not immediate P/L
 8. **Accounting entries** are largely unchanged from IAS 39; the improvements are in eligibility and assessment
-

IFRS 9 Financial Instruments — Part 9: Disclosures & Exam Strategy

The Disclosure Framework: Three Standards Working Together

Financial instrument disclosures are governed by **IFRS 7 Financial Instruments: Disclosures** — a separate standard that works alongside IFRS 9. IFRS 9 determines *how* to measure; IFRS 7 determines *what* to tell the world about those measurements.

Additionally, **IAS 32** governs the *presentation* of financial instruments (offset, classification as liability vs equity).

IAS 32	→ Presentation (what is it? where does it go on the face?)
IFRS 9	→ Recognition & Measurement (how much? when?)
IFRS 7	→ Disclosures (what do you tell users about it?)

Understanding this three-standard architecture is itself examinable.

Key Disclosures Under IFRS 7

Categories of Disclosures

IFRS 7 organises disclosures around two objectives: 1. **Significance of financial instruments** for financial position and performance 2. **Nature and extent of risks** arising from financial instruments, and how they are managed

1. Significance Disclosures

Carrying Amounts by Category

Entities must disclose the carrying amounts of each category of financial instrument: - Financial assets at amortised cost - Financial assets at FVOCI (debt) - Financial assets at FVOCI (equity — OCI option) - Financial assets at FVTPL - Financial liabilities at amortised cost - Financial liabilities at FVTPL

Fair Value Hierarchy (IFRS 13)

For instruments measured at fair value, entities disclose the level in the fair value hierarchy:

Level	Description	Example
Level 1	Quoted prices in active markets for identical instruments	JSE-listed shares
Level 2	Observable inputs other than Level 1 quotes (e.g., yield curves, credit spreads)	OTC interest rate swap
Level 3	Unobservable inputs — significant management judgement	Private equity; complex structured products

Transfers between levels must be disclosed. Level 3 instruments require a roll-forward reconciliation and sensitivity analysis.

Income Statement Items

- Interest income/expense (using EIR method)
- Fee income/expense not included in EIR
- Fair value gains/losses by category
- Impairment losses/reversals

2. Risk Disclosures

Qualitative and quantitative disclosures are required for each type of risk:

Credit Risk

Disclosure	Content
Maximum exposure	Gross carrying amount before collateral and credit enhancements
Collateral and credit enhancements	Description and fair value
Concentration of credit risk	By geography, industry, counterparty
Loss allowance reconciliation	Opening → movements (Stage 1/2/3) → closing
Significant judgements in SICR	Criteria used to determine significant increase
Write-offs	Amounts, recovery actions
Modified financial assets	Carrying amount; how modification affected loss allowance

The **loss allowance reconciliation** is a high-priority disclosure under IFRS 9 — showing how the ECL allowance moved between stages during the year.

Liquidity Risk

- Maturity analysis of financial liabilities (contractual cash flows, not carrying amounts)
- Must include derivative liabilities
- Management of liquidity risk

Market Risk

Interest Rate Risk: - Impact of a parallel shift in yield curves on P/L and equity - Duration analysis for fixed rate instruments

Currency Risk: - Net exposure by currency - Sensitivity of P/L and equity to exchange rate movements

Other Price Risk: - Commodity price sensitivity - Equity price sensitivity

Hedge Accounting Disclosures (IFRS 7.21A–24F)

IFRS 9 significantly expanded the hedge accounting disclosure requirements in IFRS 7. The goal is to help users understand: - The entity's risk management strategy - How hedging activities affect the financial statements - The effect of hedge accounting on risk exposure

Key Hedge Disclosures

Disclosure	Detail
Risk management strategy	For each risk category, qualitative description
Hedging instruments	Nominal amounts; carrying amounts; line items in balance sheet
Hedged items	Carrying amounts; accumulated hedge adjustments; line items
Hedge effectiveness	Sources of ineffectiveness; ineffectiveness in P/L
Cash flow hedge reserve	Roll-forward: opening → OCI additions → reclassified to P/L → closing
Costs of hedging reserve	Roll-forward for option time value and forward points
Net investment hedge	Roll-forward of translation reserve

IAS 32: Presentation

Offsetting Financial Assets and Liabilities

A financial asset and a financial liability shall be offset and the **net amount presented** in the statement of financial position only when the entity: 1. Currently has a legally enforceable right to set off the amounts; AND 2. Intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously

Both conditions must be met. Most netting arrangements (e.g., **ISDA master agreements** that allow offset only on default) fail condition 2 — they are disclosed in notes but not offset on the face.

Puttable Instruments and Obligations Arising on Liquidation

Certain instruments that give the holder the right to put them back to the issuer (e.g., units in a fund) are classified as liabilities under IAS 32 — even if they look like equity economically. The contractual obligation to deliver cash on demand makes them liabilities.

Integrated Example: Disclosure Note Extract

Below is the style of disclosure note you might need to draft in an exam:

Note X: Impairment of Financial Assets

The group applies the IFRS 9 three-stage ECL model to financial assets at amortised cost and FVOCI (debt). The following table shows movements in the loss allowance for the year ended 31 December 20X2:

	Stage 1 (12m ECL)	Stage 2 (Lifetime)	Stage 3 (Lifetime)	Total
Opening balance	R120,000	R380,000	R950,000	R1,450,000
Transfer to Stage 2	(45,000)	45,000	—	—
Transfer to Stage 3	—	(80,000)	80,000	—
New originations	35,000	—	—	35,000
Changes in parameters	(10,000)	65,000	320,000	375,000
Write-offs	—	—	(400,000)	(400,000)
Closing balance	R100,000	R410,000	R950,000	R1,460,000

IFRS 9 Transition Mechanics

When transitioning from IAS 39 to IFRS 9, specific transition rules apply. These are examinable — particularly around classification changes and the opening ECL allowance.

Classification on Transition

IAS 39 Category	IFRS 9 Reassessment	Key Point
HTM → ?	Reassess business model and SPPI at transition date	Most HTM assets will qualify for Amortised Cost (same outcome, different basis)
L&R → ?	Reassess business model and SPPI at transition date	Most will remain at Amortised Cost
AFS (debt) → ?	Reassess; could become AC, FVOCI debt, or FVTPL	Classification may change — depends on business model at transition
AFS (equity) → ?	Default FVTPL; entity may irrevocably designate FVOCI equity at transition	The OCI option can be elected at the transition date (not only at initial recognition)
FVTPL (mandatory) → ?	Reassess; may qualify for AC or FVOCI if business model and SPPI support it	An asset previously "stuck" in FVTPL under IAS 39 may now qualify for AC

Opening ECL Allowance

- The entity must determine the ECL stage of each financial asset at the **transition date** by comparing credit risk at origination with credit risk at the transition date
- The resulting Day 1 ECL allowance is recognised as an adjustment to **opening retained earnings** — not in P/L
- Comparatives are not restated (unless the entity elects to restate, which is permitted but rare)

Practical Transition Issues for SA Entities

- SA banks with large, long-dated loan books found the opening ECL calculation particularly complex — many had to estimate credit risk at origination for loans originated years before IFRS 9 existed
- Entities continuing IAS 39 hedge accounting (permitted under IFRS 9 transition provisions) must still adopt IFRS 9 for classification, measurement, and impairment

Comprehensive Exam Strategy: IFRS 9 / IAS 39

Topic 1: Classification Questions

Approach: 1. Is it a financial instrument? (Apply IAS 32 definition) 2. Is it in scope of IFRS 9? (Check exclusions) 3. Is it an equity instrument → FVTPL (or OCI option)? 4. Business model test → Hold to collect / Hold to collect & sell / Other? 5. SPPI test → Does it pass? 6. Apply the matrix → AC / FVOCI debt / FVTPL 7. Consider FVO if mismatch elimination is needed

Common Traps: - Equity instruments never pass SPPI — don't even apply the test - FVOCI equity option is irrevocable — must be made at initial recognition - Reclassification requires a genuine business model change

Topic 2: Measurement Questions

For amortised cost: - Calculate EIR (given or solve using trial-and-error/annuity factors) - Build the amortisation table (Opening → Interest → Cash → Closing) - Show journal entries

For FVOCI debt: - Same as amortised cost for interest and impairment - Additional OCI entry for residual FV movement - Show how OCI recycled on derecognition

For FVTPL: - FV at reporting date; all changes to P/L; transaction costs expensed upfront

Topic 3: Impairment Questions

Step-by-step: 1. Scope check — is this asset subject to ECL? 2. Approach — General or Simplified? 3. Stage — assess SICR (if General model) 4. Calculate ECL ($PD \times LGD \times EAD$, probability-weighted) 5. Opening allowance → calculate movement → closing allowance 6. Journal entries 7. Interest income — gross (Stages 1&2) or net (Stage 3) carrying amount

Common Traps: - 12-month ECL ≠ 12 months of cash flows - Stage 3 interest on NET carrying amount — never gross - FVOCI debt still requires ECL; impairment goes to P/L

Topic 4: Derecognition Questions

Asset: - Rights expired → derecognize - Transfer occurred? → Risks & rewards → Control → Continuing involvement - Full recourse = secured borrowing; Repos = secured borrowing

Liability: - Discharged/cancelled/expired → derecognize; gain/loss in P/L - Substantial modification (10% test at original EIR) → derecognize old; recognize new; gain/loss in P/L

Topic 5: Transition Questions

Step-by-step: 1. Identify the IAS 39 classification of each instrument 2. Reassess the business model and SPPI at the transition date 3. Determine the IFRS 9 classification 4. For assets moving to amortised cost: calculate the opening

amortised cost carrying amount 5. For all in-scope assets: calculate the opening ECL allowance (stage each asset at transition) 6. Recognise the net adjustment in opening retained earnings

Common Traps: - The FVOCI equity OCI option can be elected at the transition date — it is not limited to initial recognition - Opening ECL adjusts retained earnings, never P/L - Comparatives are not restated unless the entity elects to do so (rare)

Topic 6: Hedge Accounting Questions

Identify the type: - Recognized asset/liability or firm commitment → Fair value hedge - Forecast transaction or variable rate exposure → Cash flow hedge - Net investment in foreign operation → Net investment hedge

For cash flow hedge: - Effective portion → OCI - Ineffective portion → P/L - Reclassify OCI when hedged item affects P/L - If forecast no longer probable → reclassify OCI immediately

IAS 39 vs IFRS 9 comparison: - Effectiveness: 80–125% vs economic relationship - Rebalancing: Not permitted vs permitted/required - Voluntary discontinuation: Permitted vs not permitted - Risk components: Limited vs expanded

Common Student Pitfalls Across All Topics

Area	Pitfall	Correct Approach
Classification	Applying SPPI to equity instruments	Equity instruments always fail SPPI — go straight to FVTPL or OCI option
Classification	Forgetting the FVO is irrevocable	Once designated at FVO, cannot reverse
Measurement	Using coupon rate for interest income	Always use EIR
Measurement	Adding transaction costs to FVTPL assets	Transaction costs for FVTPL → P/L immediately
Measurement	Recycling FVOCI equity OCI gains	Equity OCI option: gains transfer to retained earnings, never P/L
Impairment	Applying general model to trade receivables	Simplified approach is mandatory for trade receivables without significant financing
Impairment	Recognizing ECL only when objective evidence exists	That's IAS 39. Under IFRS 9, ECL from Day 1
Impairment	Calculating interest on gross carrying amount (Stage 3)	Stage 3 → interest on NET carrying amount
Derecognition	Derecognizing on legal title transfer	Substance over form — test risks and rewards
Derecognition	Using new EIR for 10% modification test	Use the ORIGINAL EIR
Hedging	Voluntary discontinuation under IFRS 9	Not permitted — discontinue only when criteria cease to be met
Hedging	Putting effective ineffectiveness into OCI	Ineffective portion always to P/L, regardless of hedge type
Presentation	Offsetting without meeting both IAS 32 conditions	Both legally enforceable right AND net settlement intention required
Impairment	Applying the three-stage model to POCI assets	POCI assets use a credit-adjusted EIR; only changes in lifetime ECL from purchase date are recognised
Transition	Recognising opening ECL in P/L	Opening ECL allowance on transition adjusts retained earnings, not P/L

Mark-Earning Exam Techniques

Everything in this section is about converting knowledge into marks. You can understand IFRS 9 perfectly and still underperform if your exam technique is poor. The discipline below is what separates a pass from a distinction.

1. State Your Basis First

Before any calculation, state which classification, stage, or approach you are applying and *why*. A marker cannot give you marks for an unexplained number, but they can give marks for correct reasoning even if you make an arithmetic error.

2. Show Full Amortisation Tables

Never compress a multi-year EIR schedule to a single line. Show opening balance, interest, cash flows, and closing balance for each period. Markers follow the table to award process marks at each step.

3. Use a Structured Journal Entry Format

Always use:

```
Dr  [Account Name]      [Amount]
    Cr  [Account Name]          [Amount]
(Narrative)
```

Label every debit and credit. An unexplained DR/CR loses the mark.

4. Conclude on Every Sub-Question

Even in a multi-part question, end every section with a brief conclusion statement. "Therefore, the bond is classified as a financial asset at amortised cost." Examiners award a conclusion mark — don't leave it implied.

5. Distinguish Discussion Marks from Calculation Marks

In a 15-mark question, typically: - 5 marks = definitions/principles/classification reasoning - 8 marks = calculations (EIR table, ECL, journal entries) - 2 marks = presentation/disclosure

Plan your time accordingly. Don't spend 12 minutes perfecting a calculation that is worth 3 marks when a 5-mark discussion question sits unanswered.

SA Context: JSE and Industry Applications

Industry	IFRS 9 Issues Commonly Arising
Banking (FNB, ABSA, Nedbank, Standard Bank)	Massive ECL disclosures; Stage migration; SICR assessment; macro overlays
Mining (Anglo, Glencore, Impala)	Hedge accounting for commodity prices; forward contracts; options
Retail (Shoprite, Pick n Pay, Woolworths)	Trade receivable impairment; provision matrix; store card portfolios
Insurance (Sanlam, Discovery, Old Mutual)	Financial asset classification; equity investments; FVTPL vs FVOCI
Property (Growthpoint, Redefine)	Financial liabilities at amortised cost; interest rate hedges
Industrials (Sasol, Eskom)	Commodity hedges; foreign currency risk; net investment hedges

JSE-listed entities are required to apply IFRS — their annual reports are excellent real-world study material for seeing how IFRS 9 works in practice. Reviewing a bank's IFRS 9 credit risk disclosure note (e.g., First National Bank's annual report) will show the three-stage ECL model in real numbers.

Quick Reference: IFRS 9 at a Glance

Classification Matrix

Business Model + SPPI	Result
Hold to Collect + Pass	Amortised Cost
Hold to Collect & Sell + Pass	FVOCI (Debt)
Other/Trading + Any	FVTPL
Any + Fail	FVTPL
Equity instrument	FVTPL (or FVOCI equity option, irrevocable)

ECL Stage Summary

Stage	Trigger	Allowance	Interest Base
1	Initial recognition / low credit risk	12-month ECL	Gross
2	SICR since initial recognition	Lifetime ECL	Gross
3	Credit impaired	Lifetime ECL	Net

Hedge Type Summary

Type	Hedged Item	Effective Portion	Ineffective Portion
Fair value	Recognized asset/liability/firm commitment	P/L (both sides)	N/A (both in P/L)
Cash flow	Forecast transaction/variable rate exposure	OCI	P/L
Net investment	Net investment in foreign operation	OCI (translation reserve)	P/L

Key Takeaways

1. **Three standards govern financial instruments:** IAS 32 (presentation), IFRS 9 (measurement), IFRS 7 (disclosures)
2. **IFRS 7** requires carrying amounts by category, fair value hierarchy levels, and extensive risk disclosures
3. **Credit risk disclosures** under IFRS 7/IFRS 9 include loss allowance roll-forwards by stage — a key IFRS 9-specific disclosure
4. **IAS 32 offsetting** requires both legal enforceability AND net settlement intent — most netting arrangements don't qualify
5. **Transition:** classification reassessed at transition date; opening ECL adjusts retained earnings; comparatives not restated; FVOCI equity OCI option can be elected at transition
6. **Exam technique:** state your basis, show your tables, conclude every sub-question, distinguish discussion from calculation marks
7. **South African context:** understand which industries face which IFRS 9 issues — JSE annual reports are real-world examples

This completes the IFRS 9 & IAS 39 Financial Instruments Guide.